Skills

Advanced Reporting and Performance



Cheat Sheet

2026

ARP Cheat Sheet

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1 / Answer construction and correction journals

All modules | Answer construction

1 Read the requirement before calculating

- **Identify the verb:** advise, explain, calculate, construct, evaluate or recommend.
- A journal alone does not answer an advice requirement.
- Mark the reporting date, transaction dates, acquisition/disposal dates and authorisation date.
- Separate current-year, historical and post-reporting events.
- **Identify the perspective:** individual company, consolidated group, parent or subsidiary.
- The same transaction may need different treatment in each.
- **Fix the units before starting:** £, £'000, millions, number of shares, pence, foreign currency and exchange-rate direction.

2 Build a compact answer chain

Rule → relevant fact → conclusion → calculation → journal → statement/disclosure impact.

- **For an evaluation:** requirement → evidence → met/partly met/not met → specific improvement.

3 Calculate the required closing position

Prepare a labelled working before a journal.

- For recurring balances, use opening + additions/charges - settlements/disposals +/- remeasurement = closing.
- Distinguish the required closing balance from the movement to post.

4 Correct what is already recorded

Required accounting minus recorded accounting = adjustment.

- Reverse an incorrect entry and record the correct one, or post the net difference.
- Do not recognise cash twice when the cash movement is already in the draft accounts.

Situation	Journal logic
Expense omitted, liability unpaid	Dr expense; Cr payable
Asset wrongly expensed	Dr asset; Cr expense; then record depreciation/amortisation
Income overstated	Dr income; Cr relevant asset/liability

KNOW: answer/workings and applied narrative.

1 / Answer construction and correction journals

All modules | Answer construction

Situation	Journal logic
Required provision exceeds recorded provision	Dr expense; Cr provision for the difference
Current-year charge belongs in OCI	Reclassify between P/L and OCI; do not change the total twice

5 Transfer to the statement extract

Number journals and use those numbers as spreadsheet adjustment columns.

• Debit increases an asset/expense; credit increases a liability/equity/income.

• When the template shows expenses as negatives, translate journal signs into that display convention.

6 Finish the requirement

Recalculate subtotals; check the statement title/date/units; reconcile retained earnings, NCI and reserves where relevant.

• Give a brief conclusion and the specific disclosure required.

• Do not prepare a 'final step' transfer if the requirement excludes it.

CHECK BEFORE MOVING ON

• **Examiner reminders:** narrative is needed alongside workings; tailor disclosures to the instruments/scenario; number journals; check signs.

• The warning against posting to bank concerns correction/consolidation entries where cash has already been recorded, not genuine unrecorded cash transactions.

Sources: Batch 2, Term 3 2025 examiner report, general comments and Q7; Term 4 2025 report Q1-Q4.

KNOW: answer/workings and applied narrative.

2 / Presentation, policies, errors and subsequent events

Module 1 | IFRS 18 / IAS 8 / IAS 10 / IAS 34

2.1 Statement construction

1. Identify the main business activity before classifying income and expenses.

• Do not assume the investing/financing categories of a manufacturer apply unchanged to an investment or financing business.

2. Classify P/L into operating, investing, financing, income taxes and discontinued operations.

• Include the required subtotals, including operating profit and profit before financing and income taxes.

3. Separate OCI that may be recycled from OCI that will not be recycled.

• Revaluation and defined-benefit remeasurements are not recycled; foreign-operation translation can be recycled on disposal.

4. Disaggregate material items where aggregation would obscure useful information.

• If operating expenses are presented by function, consider the required nature disclosures.

5. **SOCIE:** opening balances → retrospective restatement → restated opening → profit/OCI → owner transactions → reserve transfers → closing.

• A transfer between reserves does not change total equity.

2.2 Policy, estimate or error?

Trigger	Treatment
Change in accounting policy	Normally retrospective; apply specific transition rules where relevant
New useful life, residual value or warranty estimate	Prospective: current and future periods affected
Material prior-period error	Restate comparatives and opening equity as appropriate
First move from cost to IAS 16 revaluation	Apply IAS 16 revaluation treatment, not ordinary retrospective policy mechanics

Statement categories and subtotals: IFRS 18.47, 49, 69 Events after reporting date: IAS 10.3, 8, 10, 12, 21 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 2.

2 / Presentation, policies, errors and subsequent events

Module 1 | IFRS 18 / IAS 8 / IAS 10 / IAS 34

For an inventory error, check both opening equity and the current-year cost-of-sales effect.

• Do not treat every change in a figure as an error.

2.3 Events after the reporting period

1. Place the event between year end and authorisation for issue.
2. Ask whether it gives evidence of a condition existing at year end.

• If yes, adjust the recognised amount.

3. If it concerns a new condition, do not adjust; disclose nature and estimated financial effect if material, or explain that the effect cannot be estimated.

4. Dividends declared after year end are not year-end liabilities.

• Assess disclosure instead.

• A later court settlement or customer failure may provide evidence about a year-end obligation/receivable.

5. **Consider going concern separately:** events may make the original basis inappropriate.

2.4 Interim reporting

Use actual year-to-date results and consistent policies, not half of forecast annual revenue.

• Assess materiality against interim information.

• Minimum content includes condensed primary statements, selected notes, comparatives and basic/diluted EPS.

• Distinguish IAS 34's encouragement of publication within 60 days from the listing-rule timing described in the course.

CHECK BEFORE MOVING ON

• **Trap:** a cash dividend paid this year may settle last year's recognised liability; it is not automatically a new SOCIE distribution this year.

Sources: ARP Guide pp5-10; Batch 1 APQ M1 Q1-Q4; Batch 3 ICQ M1 Lessons 1-4. Standards: IFRS 18; IAS 8; IAS 10; IAS 34.

Policy, estimate and prior error: IAS 8.14, 19, 22, 36, 42 Interim report checklist: IAS 34.8, 15, 20, 28 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 2.

3 / EPS: rights-issue working

Module 1 | IAS 33

Use a dated share timeline. Keep actual share numbers and the question’s take-up dates.

Calculate the theoretical ex-rights price

Multiply the old shares by their pre-rights fair value. Add the new shares multiplied by their issue price. Divide that combined value by the total shares after the rights issue.

Apply the bonus element

Divide pre-rights fair value per share by the theoretical ex-rights price to obtain the rights adjustment factor. Multiply pre-rights shares by this factor and by their time fraction. Weight post-rights total shares by their own time fraction. Divide previously reported comparative EPS by the factor.

A later bonus issue also adjusts earlier intervals. Do not time-weight a bonus issue as a cash issue.

Dilution reminder

Convertible debt adds back the recognised finance expense that would be avoided, net of tax, not automatically the cash coupon. Options add incremental shares but no earnings.

Sources: ARP Guide pp11-16; APQ M1 Q5-Q7; AAPQ Q37. IAS 33.19, 26, 31, 33, 41, 45, 64.

3 / Basic and diluted earnings per share

Module 1 | IAS 33

3.1 Basic EPS: solve numerator and denominator separately

1. Start with profit attributable to ordinary equity holders of the parent, not total group profit including NCI.

• Deduct relevant equity preference dividends; do not deduct again a liability-classified preference return already charged as an expense.

2. For continuing-operations EPS, use continuing earnings.

• Keep total and discontinued earnings separate where required.

3. List ordinary shares outstanding for each date interval.

• Use actual share numbers, not nominal share capital.

4. Weight full-price issues and repurchases from the date they affect shares outstanding.

• Apply bonus adjustments retrospectively.

5. Basic EPS = ordinary earnings / weighted-average ordinary shares.

• Multiply £/share by 100 to express pence.

3.2 Rights and bonus issues

Working	Formula / action
Bonus issue	Multiply pre-issue shares by (old + bonus shares) / old shares; restate comparative EPS
Theoretical ex-rights price (TERP)	(Old shares x pre-rights FV + new shares x issue price) / total shares
Rights adjustment factor	Pre-rights FV per share / TERP
Pre-rights weighted shares	Actual pre-rights shares x adjustment factor x time fraction
Post-rights weighted shares	Actual post-rights shares x time fraction
Comparative EPS after rights	Previously reported EPS / adjustment factor

Use the actual rights take-up and dates supplied.

• A later bonus issue may also require adjustment of earlier intervals.

Dilution and disclosure: IAS 33.31, 33, 41, 45, 70 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 3.

3 / Basic and diluted earnings per share

Module 1 | IAS 33

• Do not time-weight a bonus issue as though new resources were received.

3.3 Diluted EPS: test each instrument

• **Convertible debt:** add back the finance expense that would have been avoided, net of tax; add shares on assumed conversion, weighted for the period outstanding.

• Use the relevant recognised expense, not automatically the cash coupon.

• **Convertible preference shares:** add back the dividend deducted in basic earnings if conversion removes it; add conversion shares.

• **Options:** incremental shares = options x (average market price - exercise price) / average market price.

• No earnings add-back.

• Weight for the relevant period; out-of-the-money options do not dilute.

• Compare incremental earnings / incremental shares and introduce instruments in the most dilutive order.

• Exclude anti-dilutive instruments.

• Continuing-operations earnings provide the dilution control test.

3.4 Disclosure and checks

Present basic and diluted EPS with equal prominence for continuing operations and total profit attributable to ordinary holders; disclose discontinued EPS as required.

• Reconcile earnings and share denominators.

CHECK BEFORE MOVING ON

• **Traps:** total group profit instead of parent profit; coupon instead of effective finance expense; rights factor applied to post-rights shares; comparative EPS multiplied rather than divided; option proceeds treated as earnings.

Sources: ARP Guide pp11-16; Batch 1 APQ M1 Q5-Q7; Batch 3 ICQ M1 Lesson 6 and SB M1. Standards: IAS 33.

Basic EPS and retrospective shares: IAS 33.10, 19, 26, 64 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 3.

3 / Bonus and rights issue workings

Module 1 | IAS 33

Current period	Treat the bonus issue as having taken place at the start of the period
Previous period	Restate the previous period's EPS as if the bonus shares had been in issue throughout that period

Rights issue and adjustment factor

In a rights issue, shares are offered to current shareholders at a price lower than the prevailing market value.

Consequently, the issuing company receives consideration, though not equal to the full market value.

Being a 'hybrid' between a full market issue and a bonus share issue, the calculations required for a rights issue are designed to mirror this unique characteristic.

Current period	• Time weight the 'shares' calculation; and • Multiply shares outstanding before the issue by 'bonus' adjustment factor.
Previous period	• Restate the previous period's EPS to reflect the adjustment factor.

Adjustment factor

The bonus adjustment factor is calculated as:

$$\frac{\textit{Fair value per share immediately before exercise of rights}}{\textit{Theoretical ex} - \textit{rights fair value per share}}$$

The theoretical **ex-rights** value is the expected share price after the rights issue.

$$\frac{\textit{Aggregate fair value of shares immediately before exercise of rights} + \textit{proceeds received from exercise of rights}}{\textit{Number of shares outstanding after exercise of rights}}$$

Apply to the dated share timeline

For each interval: actual ordinary shares × applicable bonus factor × fraction of year. Later bonus adjustments also affect earlier intervals and comparative EPS.

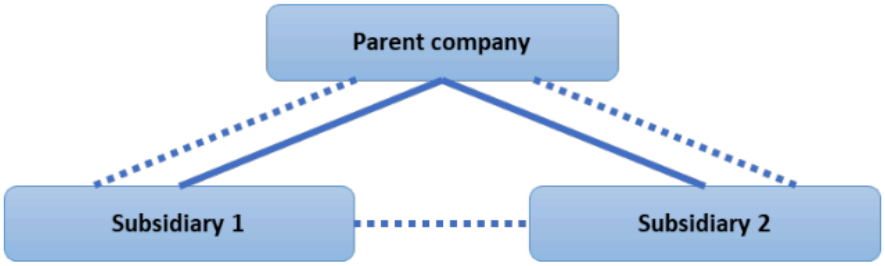
References: ARP Study Guide p13 (PDF p14); APQ M1 Q5-Q7. IAS 33.

Basic EPS and retrospective shares: IAS 33.10, 19, 26, 64 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 3.

4 / Related parties: relationship map

Module 1 | IAS 24 / Companies Act extracts

Entity related to the reporting entity

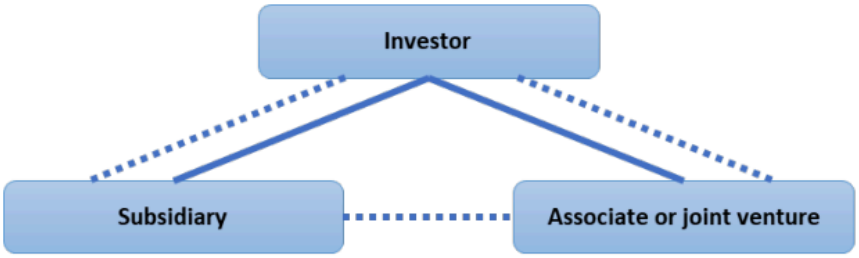


Blue line denotes direct relationship between the parent company and the subsidiaries
The dotted line denotes a related party relationship

An **entity** is related to a reporting entity if any of the following conditions apply:

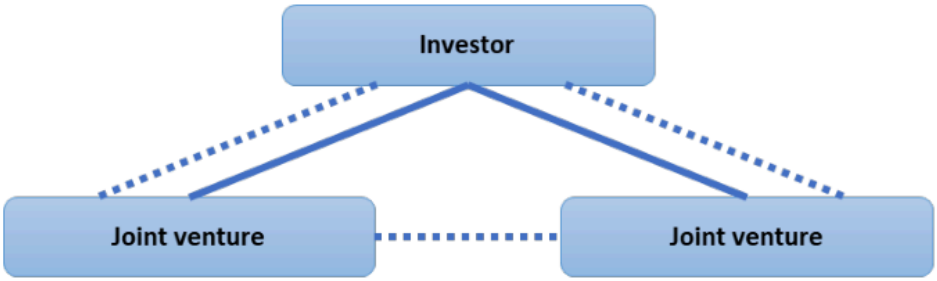
Members of the same group are related

The associate or joint venture is related to the investor and any other group member



Blue line denotes direct relationship of the investor with a subsidiary and an associate or joint venture.
The dotted line denotes a related party relationship.

The joint ventures are related to each other



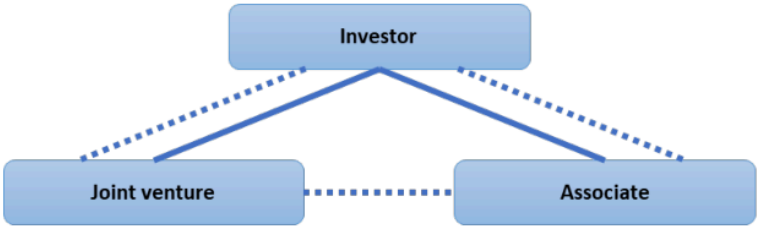
Blue line denotes direct relationship of the investor with two joint ventures.
The dotted line denotes a related party relationship.

Source: ARP Study Guide p18 (PDF p19). IAS 24.9, 11, 17-19.

4 / Related parties: relationship map

Module 1 | IAS 24 / Companies Act extracts

The joint venture and associate are related to each other



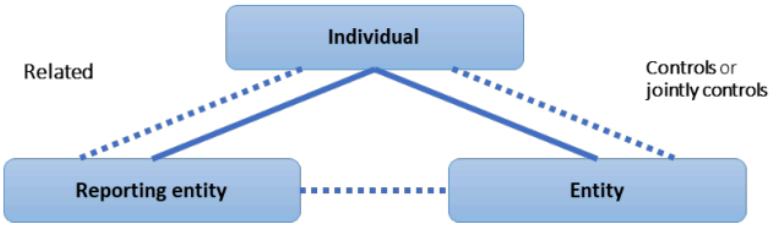
Blue line denotes direct relationship of the investor with a joint venture and an associate.
The dotted line denotes a related party relationship.

A reporting entity is related to its pension plan



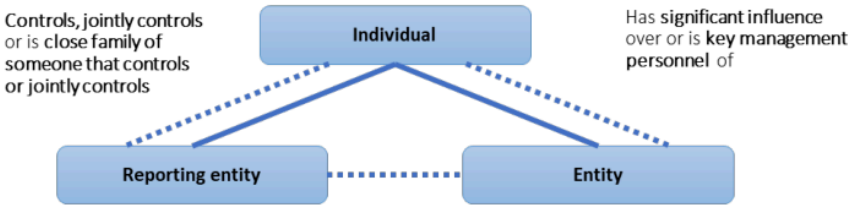
Blue line denotes direct relationship of the reporting entity with a pension plan.
The dotted line denotes a related party relationship.

The reporting entity and the second entity are related (I)



Blue line denotes direct relationship of the individual with the reporting entity and an entity.
The dotted line denotes a related party relationship.

The reporting entity and the second entity are related (II)



Blue line denotes direct relationship of the individual with the reporting entity and an entity.
The dotted line denotes a related party relationship.

Source: ARP Study Guide p19 (PDF p20). IAS 24.9, 11, 17-19.

4 / Related parties and directors' remuneration

Module 1 | IAS 24 / Companies Act extracts

4.1 Related-party decision sequence

1. Identify the reporting entity and whether the accounts are individual or consolidated.
2. **Draw the relationship:** control, joint control, significant influence, key management personnel (KMP), close family, group membership, associate/JV or benefit plan.
3. Apply the relevant IAS 24 person/entity test.

• Use substance, not just a shareholding percentage or common name.

4. Identify transactions, balances and commitments; then prepare the disclosure.

• A transaction can exist without a price being charged.

Common relationship	Starting point
Parent and subsidiary / fellow subsidiaries	Related within the same group
Investor and associate or JV	Related; consider the wider group relationships
KMP of reporting entity or parent	Related person; consider close family and controlled entities
Reporting entity's post-employment benefit plan	Related
Two companies with a director in common	Not automatically related merely for that reason
Major customer or supplier	Economic dependence alone does not establish a related party
Two venturers sharing a JV	Not related merely because they share joint control

4.2 Disclosure checklist

• Nature of the relationship; parent and ultimate controlling party information where required.

Related-party definition: IAS 24.9, 11 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 4.

4 / Related parties and directors’ remuneration

Module 1 | IAS 24 / Companies Act extracts

• Transaction amounts; outstanding balances and commitments; terms, security and settlement consideration.

• Guarantees given/received; doubtful-debt provisions and expense relating to related-party balances.

• KMP compensation by short-term benefits, post-employment benefits, other long-term benefits, termination benefits and share-based payments.

• Separate relevant categories of related parties.

• In consolidated accounts, intragroup transactions eliminated on consolidation are not disclosed as external group transactions.

Only state that terms are equivalent to arm's-length terms if this can be substantiated.

4.3 Directors' remuneration working

1. Build one row per director and one column per category before aggregating.
2. Separate salary/bonus/benefits in kind, long-term incentive schemes, pension contributions, option gains and compensation for loss of office.
3. Identify payments by subsidiaries; distinguish payments by associates/JVs using the supplied statutory extract and course treatment.
4. Determine the highest-paid director using the relevant categories, then disclose their pension information separately where required.
5. **Include required counts:** pension scheme membership, option exercises and other categories specified in the extract.
6. Reconcile the disclosure total to the category workings.

• Non-cash compensation for loss of office still needs valuation and disclosure.

CHECK BEFORE MOVING ON

• **Trap:** IAS 24 KMP compensation and statutory directors' remuneration are not interchangeable totals.

• Use the exact disclosure regime requested, not one generic remuneration note.

Sources: ARP Guide pp16-23; Batch 1 APQ M1 Q10-Q13; Batch 3 ICQ M1 Lessons 7-8. Standards: IAS 24 and supplied Companies Act extracts.

Related-party definition: IAS 24.9, 11 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 4.

5 / Inventory, PPE and borrowing costs

Module 2 | IAS 2 / IAS 16 / IAS 23 / IFRS 13

5.1 Inventory: calculate cost, then test NRV

1. Include purchase and conversion costs plus other costs bringing inventory to its present location/condition.

• Exclude abnormal waste, inappropriate storage, selling costs and unrelated administration.

2. Allocate fixed production overhead using normal capacity.

• Low production does not justify inflating the fixed overhead per unit; expense unallocated overhead.

3. NRV = estimated selling price - completion costs - costs necessary to sell.

• Compare with cost for the appropriate item/group.

4. **Write-down:** Dr cost of sales/expense; Cr inventory.

• Reverse a write-down only within the original reduction when NRV recovers.

5.2 PPE: order of operations

Cost → depreciation to the relevant date → revaluation/impairment → revised depreciation → disposal if applicable.

• Cost includes directly attributable expenditure and the initial estimate of dismantling/restoration obligations where appropriate.

• Separate significant components with different useful lives.

• Depreciate when available for use.

• New useful life/residual value is a prospective estimate change.

• **Upward revaluation:** OCI except to reverse an earlier P/L loss on the same asset.

• **Downward revaluation:** P/L except to the extent of an existing surplus for that asset.

• Revised depreciation = (revalued carrying amount - residual value) / remaining useful life.

• Excess-depreciation reserve transfers go directly between equity reserves, not through P/L.

• Disposal gain/loss = proceeds - carrying amount at disposal.

• Remove cost and accumulated depreciation, or use a net-carrying-amount entry as appropriate.

Inventory cost and NRV: IAS 2.6, 9, 13, 16, 33, 36 Borrowing costs: IAS 23.8, 12, 14, 17, 20, 22 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 5.

5 / Inventory, PPE and borrowing costs

Module 2 | IAS 2 / IAS 16 / IAS 23 / IFRS 13

5.3 Fair value: explain the valuation choice

Market-participant assumptions; highest and best use for a non-financial asset must be physically possible, legally permissible and financially feasible.

• Do not reject an alternative use merely because it differs from current use.

• Level 1 = unadjusted active-market identical prices; Level 2 = other observable inputs; Level 3 = unobservable inputs.

• Classification follows the significant inputs used.

5.4 Borrowing costs

1. **Is the asset qualifying:** does it take a substantial period to get ready for intended use/sale?
2. Start capitalisation only when expenditure, borrowing costs and preparation activities are all occurring.
3. **Specific borrowing:** actual eligible interest less temporary investment income.

• **General borrowing:** weighted capitalisation rate x eligible weighted expenditure, subject to the borrowing-cost limit.

4. Suspend during extended interruptions of active development; stop when substantially ready.

• Separate completed usable parts where appropriate.

CHECK BEFORE MOVING ON

• **Traps:** land depreciated; interest capitalised after completion; abnormal waste capitalised; valuation before updating depreciation; OCI/P/L treatment copied from another asset's reserve.

Sources: ARP Guide pp25-36; Batch 1 APQ M2; Batch 3 ICQ M2 Lessons 1-5. Standards: IAS 2; IAS 16; IAS 23; IFRS 13.

PPE cost and components: IAS 16.16, 17, 43, 55 Fair value explanation: IFRS 13.9, 16, 25, 27, 28, 72, 73 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 5.

5 / Inventory and PPE: workings into journals

Module 2 | IAS 2 / IAS 16 / IAS 23 / IFRS 13

Inventory: lower of cost and NRV

Compare cost with net realisable value. If cost is higher, recognise a write-down for the difference; otherwise no write-down is needed. NRV = expected selling price − completion costs − necessary selling costs.

Transaction / working	Debit	Credit
Write-down write-down	Cost of sales / expense: write-down	Inventory: write-down
Permitted reversal	Inventory	Cost of sales / expense

PPE: update depreciation before valuation

Transaction / working	Debit	Credit
Depreciation to relevant date	Depreciation expense	Accumulated depreciation
Upward revaluation	PPE	OCI surplus; P/remaining useful life to extent reversing prior P/remaining useful life loss
	OCI to extent of asset-specific surplus; balance P/remaining useful life	
Downward revaluation		PPE
Excess depreciation reserve transfer	Revaluation surplus	Retained earnings

depreciation after revaluation

Annual depreciation: deduct residual value from the revalued carrying amount, then divide by the remaining useful life. Use the period fraction after revaluation. Disposal gain/loss = proceeds − CA at disposal.

Borrowing costs

Specific loan: eligible actual interest − temporary investment income. General loans: weighted capitalisation rate × eligible weighted expenditure, capped by borrowing costs incurred. Capitalise only during qualifying preparation; suspend extended interruptions and stop when substantially ready.

References: ARP Study Guide pp25-36; APQ M2. IAS 2; IAS 16; IAS 23.

PPE revaluation and disclosure: IAS 16.39, 40, 41, 73, 77 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 5.

5 / PPE: components and disclosure

Module 2 | IAS 2 / IAS 16 / IAS 23 / IFRS 13

Replacement components

Significant replacement components: derecognise the old component and capitalise the qualifying replacement. Depreciation may enter another asset's cost rather than profit or loss.

Build the note from the asset working

Working	Note content
Opening and closing balances	Separate gross cost and accumulated depreciation where required.
Movements	Additions, disposals, depreciation, impairment and transfers.
Supporting information	Policy, useful life, method, commitments and restrictions.

Sources: ARP v6 asset application material; APQ/ICQ Module 2; ARP Study Guide pp25–40. IAS 16.73, 77.

6 / Investment property and intangible assets

Module 2 | IAS 40 / IAS 38

6.1 Investment property: classify by use

Property held for rental income/capital appreciation is investment property.

• Owner occupation points to IAS 16; development for ordinary-course sale points to inventory.

• For mixed use, consider whether parts can be separately accounted for and whether owner occupation is significant.

Measurement model	Subsequent treatment
IAS 40 fair value	Remeasure to FV; movement to P/L; no depreciation
IAS 40 cost	Depreciate/impair under cost-model mechanics; disclose FV

6.2 Change-of-use sequence

1. Establish evidence of an actual change in use, not merely a management intention.
2. Apply the old classification up to the transfer date.
3. Measure at transfer and apply the relevant transfer rule.
4. Apply the new model after transfer; keep transfer-date and year-end gains separate.

Transfer	Key treatment
Owner-occupied → FV investment property	Apply IAS 16 to transfer date; difference to FV treated as IAS 16 revaluation
FV investment property → owner-occupied	FV at transfer becomes deemed cost; subsequent depreciation under IAS 16
Inventory → FV investment property	Difference between FV and previous carrying amount goes to P/L

Investment-property transfers: IAS 40.7, 9, 35, 57, 60, 61, 63 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 6.

6 / Investment property and intangible assets

Module 2 | IAS 40 / IAS 38

Transfer	Key treatment
Investment property → inventory	For FV-model property, FV at transfer is deemed cost; transfer on the evidenced change of use

Group perspective: property rented to another group company may be investment property in the owner's individual accounts but owner-occupied PPE in consolidated accounts.

• Reverse inappropriate group FV gains and record group depreciation.

6.3 Intangible assets: recognition decision

1. **Identifiable:** separable or arising from contractual/legal rights.
2. Control and future economic benefits; reliable measurement of cost.
3. Internally generated goodwill, brands and similar items are not recognised merely because valuable.

• Separately acquired assets and acquisition-date identifiable intangibles have different recognition contexts.

4. Research is expensed.

• **Capitalise development only from the date all criteria are met:** technical feasibility; intention to complete; ability to use/sell; probable benefits; adequate resources; reliable measurement of attributable expenditure.

5. Do not reinstate expenditure previously expensed before the criteria were met.

Investment-property notes: IAS 40.75, 76, 79 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 6.

6 / Investment property and intangible assets

Module 2 | IAS 40 / IAS 38

6.4 Subsequent measurement and journals

Finite life: amortise from availability for use; assess impairment.

• **Indefinite life:** no amortisation, but annual impairment testing and review of the life assessment.

• Revaluation requires an active market, which is uncommon for intangibles.

Development capitalisation: Dr intangible; Cr payable/cash, or Cr expense when correcting an amount already expensed.

• **Amortisation:** Dr expense; Cr accumulated amortisation.

CHECK BEFORE MOVING ON

• **Traps:** all R&D capitalised; amortisation before availability; investment-property gains sent to OCI; group rental property left under IAS 40.

Sources: ARP Guide pp31-36; Batch 1 APQ M2 and M6 Q11; Batch 3 ICQ M2 Lessons 3-4. Standards: IAS 40; IAS 38.

Development and intangible recognition: IAS 38.54, 57, 63, 65, 71 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 6.

6 / Investment property and intangibles: journal patterns

Module 2 | IAS 40 / IAS 38

Investment property

Transaction / working	Debit	Credit
FV-model gain	Investment property	P/L FV gain
FV-model loss	P/L FV loss	Investment property
Change of use	Treatment at transfer	
Owner-occupied → FV investment property	Apply IAS 16 to transfer date; transfer difference treated as IAS 16 revaluation. Later FV changes go to P/L.	
FV investment property → owner-occupied	FV at transfer is deemed cost; depreciate thereafter.	
Inventory → FV investment property	Transfer-date difference to P/L.	
FV investment property → inventory	FV at transfer is deemed cost.	

Intangible asset journals

Transaction / working	Debit	Credit
		Cash / payable; expense if correcting costs already expensed
Development meets all criteria from date d	Intangible: eligible costs after d	
Finite-life amortisation	Amortisation expense	Accumulated amortisation

Research and development costs before d remain expenses; do not reinstate them. Amortisation **starts when available for use. Indefinite-life assets:** no amortisation, but annual impairment testing and review of life assessment.

References: ARP Study Guide pp31-36; APQ M2; APQ M6 Q11. IAS 40; IAS 38.

Intangible amortisation and notes: IAS 38.94, 97, 100, 107, 118 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 6.

6 / Intangibles and investment property: notes

Module 2 | IAS 40 / IAS 38

Intangible life and residual value

Contractual rights normally limit useful life unless renewal is supported. Residual value is normally zero unless there is a third-party commitment or a qualifying active market.

Internally generated brands/customer lists and general training/start-up costs do not become assets merely because benefits are expected.

Asset / model	Construct the note
Intangible assets	Separate gross cost and accumulated amortisation where required. Reconcile opening balance, additions, disposals, amortisation, impairment, transfers and closing balance. Add policy, life, method, commitments and restrictions.
Investment property: fair value	Movement reconciliation, rental income/direct costs and valuation detail.
Investment property: cost	Depreciation/impairment reconciliation and disclosed fair value.

Sources: ARP v6 asset application material; APQ/ICQ Module 2; ARP Study Guide pp31–40. IAS 38.100, 118; IAS 40.75–79.

7 / Impairment, held for sale and discontinued operations

Modules 1-2 | IAS 36 / IFRS 5

Step	Decision / action
1. Update	Apply the asset's normal standard up to the relevant date.
2. Impairment test	Individual asset or CGU? Identify indicators and mandatory annual tests.
3. Recoverable amount	Higher of value in use and fair value less costs of disposal.
4. Compare	CA above recoverable amount: recognise the excess. Otherwise no impairment.
5. CGU allocation	Goodwill first, then eligible assets pro rata, subject to each asset's floor. Reallocate blocked amounts.
6. Held for sale	If IFRS 5 criteria met: after normal-standard updates, lower of CA and FV less costs to sell; stop in-scope depreciation.
7. Discontinued?	Separate component and major line/geography test. HFS classification alone is not enough.

Impairment = max[CA − max(VIU, FVLCD), 0]

Partial goodwill: gross up goodwill for the CGU comparison; recognise only the parent share of the notional-goodwill loss. Allocate remaining losses to recognised eligible assets.

Asset floor: highest of determinable FVLCD, determinable VIU and zero. Goodwill impairment is never reversed. Other reversals cannot exceed the no-impairment carrying amount.

Sources: ARP Guide pp9-10, 36-40; APQ M2 Q9-Q11; Workshop 1 Q1-Q2. IAS 36.18, 104-105, 117, 124; IFRS 5.15, 18, 25, 32.

Recoverable amount and annual tests: IAS 36.9, 10, 18, 59, 60 Held-for-sale route: IFRS 5.5, 6, 7, 8, 15, 18, 25 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 7.

7 / Impairment, held for sale and discontinued operations

Modules 1-2 | IAS 36 / IFRS 5

7.1 Impairment: asset or CGU?

1. Identify indicators.

• Annual testing is required for goodwill, indefinite-life intangibles and intangibles not yet available for use.

2. Recoverable amount = higher of value in use (VIU) and fair value less costs of disposal (FVLCD).

• Impairment = carrying amount above recoverable amount.

3. If an asset does not generate independent cash inflows, test the appropriate cash-generating unit (CGU).

4. Allocate CGU impairment first to goodwill, then pro rata to other assets within scope.

• Do not reduce an asset below the highest of its measurable FVLCD, determinable VIU and zero.

• Reallocate any blocked amount.

5. Charge P/L unless revaluation treatment applies.

• Revise subsequent depreciation/amortisation.

6. Reversal is limited to the carrying amount that would have existed without impairment.

• Never reverse goodwill impairment.

7.2 Partial goodwill: do not skip the gross-up

Where NCI is measured at proportionate net assets, recognised goodwill is only the parent's portion.

• Gross it up for the CGU impairment comparison.

• Only the parent's share of a loss allocated to that notional goodwill is recognised against the recorded goodwill; apply the proper allocation to other assets.

• Do not simply apply NCI to recorded partial goodwill.

CGU allocation and reversal: IAS 36.104, 105, 117, 122, 124 Discontinued operations: IFRS 5.32, 33, 34, 38, 41 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 7.

7 / Impairment, held for sale and discontinued operations

Modules 1-2 | IAS 36 / IFRS 5

7.3 Held for sale (HFS)

1. Recover principally through sale rather than continuing use.
2. Available for immediate sale in present condition; sale highly probable.

• Check management commitment, active buyer programme, reasonable marketing price, expected completion normally within one year and unlikely significant changes/withdrawal.

3. Immediately before classification, update measurements under the normal standards.
4. Measure in-scope assets/disposal group at lower of carrying amount and FV less costs to sell.

• Respect the measurement exceptions for assets governed by other standards.

5. Stop depreciation of in-scope non-current assets; present HFS assets and related liabilities separately without offsetting.

7.4 Discontinued operation: a separate test

Disposed of or HFS component AND a separate major business line/geographical area, part of a coordinated plan to dispose of one, or a subsidiary acquired exclusively for resale.

• Not every HFS asset qualifies.

Present a single post-tax amount comprising operating result plus disposal/measurement result.

• Re-present comparative P/L; disclose analysis and relevant cash flows.

• Abandonment may qualify when operations cease, but does not make an asset HFS.

CHECK BEFORE MOVING ON

• **Traps:** lower of VIU and FVLCD; goodwill reversal; HFS depreciation continued; all asset sales called discontinued; comparative SOFP automatically restated for HFS.

Sources: ARP Guide pp9-10, 36-40; Batch 1 APQ M1 Q8-Q9 and M2; Batch 3 ICQ M2 Lessons 6-8. Standards: IAS 36; IFRS 5.

Impairment disclosures: IAS 36.126, 130, 134 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 7.

7 / Impairment and disposal: disclosure

Modules 1-2 | IAS 36 / IFRS 5

Topic	Build the note from the working
Impairment	Events, amount, affected asset/CGU, recoverable amount and basis, valuation technique/discount rate; significant goodwill assumptions where required.
Held for sale	Separate balances; description, facts/circumstances and expected disposal.
Discontinued operation	Post-tax analysis and comparatives where applicable.

Sources: ARP v6 asset application material; APQ/ICQ Module 2; ARP Study Guide pp36–40. IAS 36.130, 134; IFRS 5.33, 38, 41.

8 / Leases: recognition and payment timing

Module 3 | IFRS 16

Recognition gate

Identified asset + substantially all economic benefits + right to direct use. Determine commencement and enforceable term before testing an exemption.

Optional exemption	Definition and election
Short-term	Lease term at commencement is 12 months or less; no purchase option. Election by class of underlying asset.
Low-value	Assess value when new, not used value. Standalone/not highly dependent; materiality to the lessee is not the test. Election lease by lease.

Exemption elected: no ROU asset or lease liability. ARP uses straight-line lease expense over the whole term, including rent-free months. Recognise an accrual or prepayment when cash timing differs.

Total lease payments over the term

Monthly expense =

Number of months in the term

Accrual = cumulative expense − cumulative cash paid

Event	Debit	Credit
Expense incurred, unpaid	Lease expense	Accrual / payable
Cash settles accrual	Accrual / payable	Cash
Advance cash	Prepayment	Cash
Use of prepayment	Lease expense	Prepayment

No exemption: ROU and liability; build dated schedule. Arrears: interest then payment. Advance: payment then interest on reduced balance. A commencement payment already excluded from opening liability is not deducted twice.

Source: ICQ M3 Lesson 2 (Burgos, Stavanger, Santander); ARP Guide pp43-44. IFRS 16 Appendix A; 5-8; B3-B5. Expanded example: p94.

Lease identification: IFRS 16.9, B9, B14, B18, B20, B24 Initial ROU and liability: IFRS 16.22, 24, 26, 27 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 8.

8 / Lessee accounting and lease schedules

Module 3 | IFRS 16

8.1 Recognition decision

1. **Identified asset:** explicit/implicit identification; assess substantive supplier substitution rights.
2. Customer obtains substantially all economic benefits and directs how/for what purpose the asset is used.
3. **Determine enforceable lease term:** non-cancellable period plus extension/termination options where the required reasonable-certainty assessment is met.
4. Consider elected short-term and low-value exemptions.

• A short-term lease is not simply a lease with a small annual payment.

8.2 Initial measurement at commencement

Lease liability = PV of unpaid lease payments.

• Use the implicit rate if readily determinable; otherwise the incremental borrowing rate.

• Include relevant fixed/in-substance fixed payments, index/rate-based payments at commencement, residual guarantees, reasonably certain purchase options and applicable termination penalties.

ROU asset = liability + payments at/before commencement - incentives + initial direct costs + restoration provision.

Entry	Debit	Credit
Recognise unpaid lease obligation	ROU asset	Lease liability
Eligible initial direct costs	ROU asset	Cash/payable
Restoration obligation	ROU asset	Provision
Periodic interest	Finance expense	Lease liability
Payment	Lease liability	Cash
Depreciation	Operating expense	ROU accumulated depreciation

Lease exemptions: IFRS 16.5, 6, 8, B3, B4, B5, B7 Subsequent lease measurement: IFRS 16.32, 36, 38, 39, 40 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 8.

8 / Lessee accounting and lease schedules

Module 3 | IFRS 16

8.3 Build the schedule before posting

Timing	Closing liability
Arrears	Opening + interest on opening - payment
Advance	Opening - start-of-period payment + interest on the reduced balance

For a payment at commencement, exclude it from the initial unpaid-payment liability and include it in ROU cost.

• Use actual fractions of a year for commencement/year-end timing.

Depreciate ROU over the shorter of useful life and lease term unless ownership transfers or a purchase option is reasonably certain, in which case use useful life.

• Apply impairment where relevant.

8.4 Remeasurement and presentation

Changes in the lease term/purchase-option assessment may require a revised discount rate.

• Index/rate changes normally use the existing rate, except relevant floating-rate changes.

• Adjust ROU for liability remeasurement, subject to the required treatment when ROU is exhausted.

Current liability is the principal due within the next 12 months, not the next gross cash payment.

• For advance payments, check whether the next payment occurs immediately after year end.

• Present/disclose ROU and liabilities in the appropriate classes.

CHECK BEFORE MOVING ON

• **Traps:** cash coupon used as interest expense; payment at commencement discounted again; incentive omitted; restoration added to lease liability rather than a separate provision; interest included in current principal.

Sources: ARP Guide pp42-48; Batch 1 APQ M3; Batch 2 Workshop 1 Q4; Batch 3 ICQ M3 Lessons 1-6. Standards: IFRS 16.

Lease term and options: IFRS 16.18, 19, 20, B36 Lease presentation and notes: IFRS 16.47, 49, 50, 53, 58, 59, 60 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 8.

8 / Lease workings

Module 3 | IFRS 16

Rent-free period: Santander

A 12-month lease starts on 1 August. There are nine payments of £1,800 and the first three months are rent-free. At 31 December, five months have elapsed and two payments have been made.

Working	Amount
Total payments	9 × £1,800 = £16,200
Monthly expense	£16,200 ÷ 12 = £1,350
Expense to year end	£1,350 × 5 = £6,750
Cash paid	£1,800 × 2 = £3,600
Accrual	£6,750 − £3,600 = £3,150

Already recorded	Adjustment
Nothing	Dr lease expense £6,750; Cr cash £3,600; Cr accrual £3,150.
Cash charged to expense	Dr lease expense £3,150; Cr accrual £3,150. Do not record cash again.

Current / non-current split: Warsaw

Closing liability £226,662; next annual arrears payment £66,000; next-year interest £14,733. Current principal = £66,000 − £14,733 = £51,267. Non-current liability = £226,662 − £51,267 = £175,395.

Sources: ICQ Module 3 Lessons 2 and 4; ARP Study Guide pp43–48. IFRS 16 Appendix A; 6, 8, B3–B5.

8 / Lease timing and reassessment

Module 3 | IFRS 16

Advance timing: Zurich

The next immediate advance payment is deducted before new interest. If the first payment has already been excluded from the initial unpaid liability, do not deduct it again.

Reassessment: Prague

Working	Amount / entry
Original liability	£64,427
Revised liability	£44,581
Reduction	£64,427 − £44,581 = £19,846
Journal	Dr lease liability £19,846; Cr ROU asset £19,846.
Revised ROU asset	£66,000 − £19,846 = £46,154
Annual depreciation	£46,154 ÷ 2 remaining years = £23,077

A lease-term change uses a revised discount rate. Use ownership/purchase-option facts before choosing the depreciation period.

Sources: ICQ Module 3 Lessons 3–4; ARP Study Guide pp44–48. IFRS 16.24, 26–27, 32, 39–40.

9 / Sale and leaseback: working into journal

Module 3 | IFRS 16 / IFRS 15

First assess whether control transfers under IFRS 15. Then separate any off-market financing/prepayment before applying the sale-branch working.

At-market sale: seller-lessee

PV of leaseback rights

Retained proportion =

Asset fair value

Transferred proportion = 1 − retained proportion

ROU asset = original carrying amount × retained proportion

Recognised gain = (fair value − original CA) × transferred proportion

Debit	Credit
	Original asset: original CA Lease liability: unpaid-payment PV Gain: transferred-right amount
Cash: proceeds ROU: retained-right amount	

Use descriptive labels rather than introducing C, V and L solely for brevity. If a commencement payment is made, distinguish the value of all retained leaseback rights from the unpaid liability; see p96.

Transfer is not a sale

Debit	Credit
Cash proceeds	Financial liability

Retain the original asset and continue depreciation. No sale gain and no new ROU. If cash is already correctly recorded, correct the wrong revenue/gain/asset entries without posting cash again.

Sources: ARP Guide pp45-47; APQ M3 Q2; ICQ M3 Lesson 5. IFRS 16.99-103; IFRS 15.38.

Sale-and-leaseback branches: IFRS 16.99, 100, 101, 102, 102A, 103 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 9.

9 / Sale and leaseback

Module 3 | IFRS 16 / IFRS 15

9.1 Start with the sale test

Assess whether control transfers under IFRS 15.

• Legal title and cash received are not conclusive alone.

• Consider payment rights, ownership rights, acceptance, risks/rewards and repurchase arrangements.

• Only then choose the accounting branch.

9.2 Branch A: transfer qualifies as a sale

1. Establish the asset's carrying amount immediately before sale, its FV and the proceeds.

2. Check whether proceeds and lease payments are at market terms.

• Below-market terms may create a prepayment; above-market terms may create additional financing.

• Separate these from the sale/lease calculations.

3. Measure the leaseback liability at the relevant PV.
4. Determine the proportion of rights retained and rights transferred.
5. Recognise ROU at the proportion of the previous carrying amount relating to the right retained.

• Recognise only the gain relating to rights transferred.

At-market working	Formula
Retained proportion	PV of leaseback payments / FV of asset
Transferred proportion	1 - retained proportion
ROU	Previous carrying amount x retained proportion
Total notional gain	FV - previous carrying amount

Control-transfer indicators: IFRS 15.38, B64, B66 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 9.

9 / Sale and leaseback

Module 3 | IFRS 16 / IFRS 15

At-market working	Formula
Recognised gain	Total notional gain x transferred proportion

At-market journal: Dr cash for proceeds; Dr ROU; Cr original asset carrying amount; Cr lease liability; Cr recognised gain.

• Check that it balances before adding any off-market financing/prepayment adjustment.

9.3 Branch B: transfer does not qualify as a sale

Continue recognising the original asset and depreciating it.

• **Recognise proceeds as a financial liability:** Dr cash; Cr financial liability.

• Do not recognise a sale gain or a new ROU asset.

• Subsequent payments are accounted for as financing repayments/interest under the relevant liability mechanics.

9.4 Correcting a draft entry

If the seller already removed the asset and recognised the full gain, reverse the inappropriate part.

• If cash was correctly recorded, the correction normally does not touch cash.

• Rebuild the required asset/liability/gain balances and compare with the draft.

9.5 Subsequent accounting

Depreciate the recognised ROU and account for the leaseback liability using the relevant leaseback requirements.

• For non-sale financing, retain depreciation on the original asset and recognise finance costs.

• Use the scenario's payment timing.

CHECK BEFORE MOVING ON

• **Traps:** recognising the whole gain; ROU equal to the new liability; ignoring off-market terms; treating every legal sale as a qualifying accounting sale; derecognising the asset under the financing branch.

Sources: ARP Guide pp45-46; Batch 1 APQ M3 sale-and-leaseback requirements; Batch 3 ICQ M3 Lesson 5; RP2 reference section D. Standards: IFRS 16; IFRS 15.

Sale-and-leaseback branches: IFRS 16.99, 100, 101, 102, 102A, 103 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 9.

9 / Sale and leaseback: Harvey and Avila

Module 3 | IFRS 16 / IFRS 15

Above-market proceeds: Harvey

Cash proceeds £3m; original carrying amount £2.6m; fair value £2.9m; five arrears payments of £150,000; 6% factor 4.212. The transfer is a sale.

Working	Calculation
Additional financing	£3m − £2.9m = £100,000
PV of contractual payments	£150,000 × 4.212 = £631,800
Leaseback liability	£631,800 − £100,000 = £531,800
Retained proportion	£531,800 ÷ £2,900,000
ROU asset	£2,600,000 × retained proportion = £476,786
Gain	£300,000 × transferred proportion = £244,986

Debit	Credit
Cash £3,000,000; ROU £476,786	Original asset £2,600,000; lease liability £531,800; financing loan £100,000; gain £244,986

Separate the loan once only. Use unrounded proportions until final rounding. Do not use £3m as the fair-value denominator or retain the loan inside the leaseback liability as well.

Advance payment: Avila

The supplied working includes the immediate £100,000 when valuing retained rights. Distinguish total PV of retained rights from PV of remaining unpaid payments; record the immediate payment separately. Do not use an unpaid-only numerator to value all retained rights.

Sources: ARP Study Guide p46; ICQ Module 3 Lesson 5; APQ Module 3 Q2. IFRS 16.99–103.

10 / Provisions: discounting and journals

Module 3 | IAS 37

$$\text{Present value} = \text{future settlement} / (1 + \text{annual discount rate})^{\text{years to settlement}}$$

Use the actual settlement timing. For several cash flows, discount each and add the present values.

Event	Debit	Credit
Initial provision	Expense / qualifying asset: PV	Provision: PV
Discount unwind	Finance expense: opening provision × r × period fraction	Provision: same amount
Settlement	Provision	Cash

Remeasurement is separate from unwind

Calculate the required revised closing provision, then compare with the carrying amount after unwind. Post the change to the appropriate expense/asset destination. Do not treat the full revised closing provision as the current-year charge.

Onerous contract

Test related assets for impairment first. Compare unavoidable fulfilment cost with exit cost; apply the lower unavoidable net cost. Do not provide for general future operating losses.

Reimbursement

Recognise a separate reimbursement asset only when receipt is virtually certain if the obligation is settled; do not net it against the provision balance. The asset cannot exceed the provision.

Sources: ARP Guide pp49-52; APQ M3 Q4-Q7; ICQ M3 Lessons 7-10. IAS 37.14, 36, 45, 47, 53, 60, 68-69.

Provision recognition and uncertainty: IAS 37.14, 27, 31, 34, 36, 39, 45, 47 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 10.

10 / Provisions and contingencies

Module 3 | IAS 37

10.1 Recognition decision

Present legal/constructive obligation from a past event + probable outflow + reliable estimate → provision.

• Possible obligation, or present obligation failing the recognition criteria → contingent liability disclosure unless remote.

• No present obligation → no provision for future operating expenditure.

Item	Recognition / disclosure
Probable liability, reliably measurable	Recognise provision
Possible liability	Disclose contingent liability unless remote
Remote liability	Normally neither recognise nor disclose
Probable contingent asset	Disclose, do not recognise
Virtually certain inflow	Recognise asset; no longer merely contingent

10.2 Measurement sequence

1. Identify the obligation and the expenditure needed to settle it, not a general reserve for business risk.
2. **Use the best estimate:** expected value for a population of obligations; assess the most likely outcome and other possible outcomes for a single obligation.
3. Discount where material, using a rate consistent with the risks not already reflected in cash flows.
4. **Unwind discount:** Dr finance expense; Cr provision.
5. Update estimates at each reporting date.

• Use the provision only for the expenditure for which it was recognised.

Reimbursement, unwind and onerous contracts: IAS 37.53, 59, 60, 66, 68, 68A, 69 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 10.

10 / Provisions and contingencies

Module 3 | IAS 37

6 **Reimbursement:** recognise a separate asset only when virtually certain; it cannot exceed the provision.

• Do not simply net the liability in the SOFP.

10.3 Specific scenarios

• **Warranty:** expected claims across the population, based on the relevant probability/cost data.

• **Onerous contract:** unavoidable costs exceed benefits.

• Consider the lower cost of fulfilling and exiting the contract; impair dedicated assets before the separate onerous-contract provision.

• **Restructuring:** detailed formal plan and valid expectation created by starting implementation or sufficiently specific announcement.

• Include direct restructuring expenditure, not future training/marketing/operating losses.

• **Restoration/decommissioning:** initial obligation may be included in asset cost; subsequent discount unwind is a finance cost.

• Changes in the estimate may affect the related asset under the applicable rules.

10.4 Revenue contract interaction

Apply IFRS 15 to revenue and costs first.

• Then recognise the future unavoidable loss under IAS 37.

• A previously recognised profit can mean the provision exceeds the overall contract loss.

Guide example (£'000): price 5,000; revenue already recognised 2,000; future costs 3,850.

• Remaining revenue 3,000 → future loss provision 850.

• This offsets prior profit 800 and leaves overall loss 50.

CHECK BEFORE MOVING ON

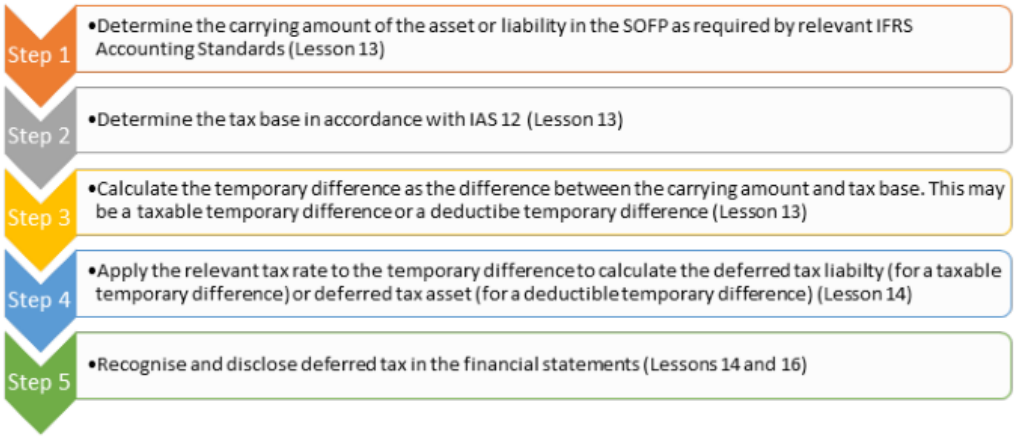
• **Traps:** future operating losses provided for; board intention treated as constructive obligation; reimbursement recognised when only probable; provision equal to total contract loss without considering prior recognised profit.

Sources: ARP Guide pp49-52, 69-70; Batch 1 APQ M3 and M4; Batch 3 ICQ M3 Lessons 7-10. Standards: IAS 37; IFRS 15.

Restructuring and disclosure: IAS 37.72, 80, 81, 84, 85, 86, 89 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 10.

11 / Current and deferred tax

Module 3 | IAS 12



Temporary-difference branches

Position	Asset	Liability
CA > TB	Taxable → DTL	Deductible → DTA
CA < TB	Deductible → DTA	Taxable → DTL
CA = TB	No temporary difference	No temporary difference

Journal: post the movement

Transaction / working	Debit	Credit
DTL increases by Δ	Tax expense / OCI: Δ	DTL: Δ
DTA increases by Δ	DTA: Δ	Tax credit / OCI: Δ

Warranty example: provision W deductible only on payment → liability TB = W − W = nil → deductible difference W → potential DTA = W × tax rate. Check recoverability. Reverse entries for reductions; follow underlying P/L, OCI or equity treatment.

References: ARP Study Guide pp53-60; APQ M3; Term 3 2025 Q3. IAS 12.

Tax bases and recognition: IAS 12.7, 8, 15, 24, 34 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals Book guide section 11.

11 / Current and deferred tax

Module 3 | IAS 12

11.1 Current tax

Calculate current tax using taxable profit and the applicable rate.

• Recognise current-year tax payable and the P/L charge, with prior-year under/over-provision adjustments as appropriate.

• Tax paid is a settlement, not automatically the current-year tax expense.

11.2 Deferred tax: six-column working

Item → carrying amount (CA) → tax base (TB) → temporary difference → rate → DTA/DTL and recognition destination.

Position	Asset	Liability
CA > TB	Usually taxable difference: DTL	Usually deductible difference: DTA
CA < TB	Usually deductible difference: DTA	Usually taxable difference: DTL

Asset tax base is the amount deductible against future taxable economic benefits; if benefits are not taxable, tax base equals carrying amount.

• Liability tax base is carrying amount less amounts deductible in future; revenue received in advance has its own tax-base rule.

11.3 Common question patterns

• **PPE:** CA after accounting depreciation versus tax written-down value after capital allowances.

• Accelerated allowances commonly create a DTL.

• **Revaluation:** separate the revaluation temporary difference from the depreciation/capital-allowance difference.

• The ARP guide instructs you to assume the revaluation temporary difference equals the revaluation surplus.

• **Warranty/provision deductible on payment:** liability tax base may be zero → deductible difference/DTA, subject to recoverability.

• **Pension deficit:** consider future deduction of contributions; assess the DTA and split tax between P/L and OCI consistently with the underlying movements.

• **Rolled-over gain:** reduced tax base of replacement asset creates a taxable temporary difference; do not assume the tax disappears permanently.

• **Tax losses:** DTA only to the extent probable future taxable profits support utilisation.

Tax measurement and destination: IAS 12.46, 47, 51, 53, 58, 61A, 74, 81 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 11.

11 / Current and deferred tax

Module 3 | IAS 12

• Recent losses require particular caution.

11.4 Measure and post the movement

Use enacted/substantively enacted rates expected on reversal; do not discount.

• Assess recovery through use/sale where relevant.

• Apply recognition exceptions rather than assuming every difference produces tax.

Closing required DTL - opening DTL = total increase; split between P/L, OCI and equity according to the underlying transaction.

• **DTL increase:** Dr tax expense/OCI; Cr DTL.

• **DTA increase:** Dr DTA; Cr tax credit/OCI.

• Reverse directions for reductions.

11.5 Final checks

Do not recognise the full closing balance as this year's expense.

• Do not offset DTA/DTL without the offset criteria.

• Explain why the temporary difference arises and how it reverses, not just its arithmetic.

CHECK BEFORE MOVING ON

• **Trap:** a warranty provision is not a DTL merely because it is a liability.

• Apply the liability tax-base test.

Sources: ARP Guide pp53-60; Batch 1 APQ M3; Batch 2 Term 3 2025 Q3; Batch 3 ICQ M3 Lessons 11-16. Standards: IAS 12.

Tax bases and recognition: IAS 12.7, 8, 15, 24, 34 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals Book guide section 11.

11.6 Course presentation assumption and pension-tax destination

For ARP questions using the course assumption, present the deferred-tax balances net as instructed. This is a course simplification, not a replacement for IAS 12 offset criteria: a legally enforceable right to offset current tax and the relevant same-tax-authority / taxable-entity conditions must be met.

Pension tax follows the underlying movement: tax relating to service cost or net interest belongs in profit or loss; tax relating to pension remeasurements belongs in OCI. A closing pension liability alone does not identify that split. In Jeffrey (M3 Q10), state the necessary assumption if the movement breakdown is unavailable; do not turn the model answer’s assumption into a universal rule.

Sources: ARP Study Guide printed p59; verification report, Jeffrey demonstration; IAS 12.61A, 74.

12 / Revenue: over-time working

Module 4 | IFRS 15 / IAS 37

Progress = eligible costs incurred / total eligible expected costs

Cumulative revenue = allocated transaction price × progress

Current-year revenue = cumulative revenue − revenue recognised previously

Use cost-to-cost only when it faithfully depicts progress. Exclude abnormal waste/distortions and consider uninstalled materials. The over-time gate must be met first.

Balance	Working
Receivable	Cumulative invoicing − customer cash receipts, where the right is unconditional except for time.
Contract asset	Recognised revenue above invoicing, where the right remains conditional.
Contract liability	Invoicing/receipts ahead of performance, as applicable.

Journals: choose the actual sequence

Event	Debit	Credit
Performance before billing	Contract asset	Revenue
Bill unconditional amount	Receivable	Contract asset / revenue
Cash received	Cash	Receivable
Performance after advance	Contract liability	Revenue

Do not recognise both a contract asset and receivable for the same right. Future expected contract loss is a separate IAS 37 assessment, not a reduction of the progress percentage.

Sources: APQ M4 Q1-Q7; ICQ/SB M4; ARP Guide pp62-70. IFRS 15.35, 39-40, 105-108; IAS 37.66-69.

Revenue five-step gates: IFRS 15.9, 22, 27, 35, 38, 50, 56, 73 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 12.

Contract-cost acquisition expedient

Incremental acquisition costs are incurred only because the contract is obtained and must be expected to be recoverable. The practical expedient permits expense if the amortisation period is one year or less. Source: IFRS 15.91, 94; ARP v6 revenue application material.

12 / Revenue, contract balances and contract costs

Module 4 | IFRS 15 / IAS 37

12.1 Five-step solving sequence

1. **Identify the contract:** approval, rights, payment terms, commercial substance and probable collection.

• Consider whether related contracts need combining.

2. **Identify distinct performance obligations:** customer can benefit from the good/service and the promise is separately identifiable.

• Separate service warranties from assurance warranties.

3. **Determine transaction price:** fixed/variable consideration, constraint, significant financing, non-cash consideration and payments to customers.

4. Allocate price using relative stand-alone selling prices, subject to the specific allocation rules for discounts/variable consideration.

5. **Recognise revenue when/as control transfers:** over time if a qualifying criterion is met; otherwise at a point in time.

12.2 Over-time recognition

Criteria: customer simultaneously receives/consumes benefits; customer controls the asset as created/enhanced; or no alternative use AND enforceable right to payment for performance to date.

• Apply the actual contract facts, not merely 'construction contract'.

Select a faithful progress measure.

• For cost-to-cost, use eligible costs incurred / eligible total estimated costs.

• Exclude distortions such as abnormal waste and consider special treatment for uninstalled materials.

• Current-year revenue = cumulative required revenue - revenue recognised previously.

Revenue scenario branches: IFRS 15.18, 20, 21, B20, B28, B34, B77, B79, B81 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 12.

12 / Revenue, contract balances and contract costs

Module 4 | IFRS 15 / IAS 37

12.3 Contract balances: keep three amounts separate

Balance	ARP course working
Receivable	Revenue invoiced - customer cash receipts
Contract asset	Recognised revenue above invoiced revenue, where right remains conditional
Contract liability	Invoiced/received consideration ahead of performance, as applicable

The course assumes invoiced recognised revenue has an unconditional right to payment other than passage of time.

• Do not confuse cash receipts with invoicing or recognise both a receivable and contract asset for the same right.

12.4 Common scenario decisions

• **Variable consideration:** expected value or most likely amount as appropriate; include only to the extent highly probable no significant reversal.

• **Principal/agent:** assess control before transfer; principal reports gross, agent its fee/commission.

• **Returns:** revenue for expected retained sales; refund liability; recovery asset where applicable.

• **Repurchase, bill-and-hold and consignment:** apply the specific control tests; dispatch/invoicing alone may not establish revenue.

• **Contract modifications:** assess distinct goods and stand-alone pricing; choose separate contract, prospective treatment or cumulative catch-up as required.

12.5 Contract costs and losses

Incremental recoverable acquisition costs may be capitalised.

• **Fulfilment costs:** apply another standard first; otherwise test direct relation, future resources and recoverability.

• Expense costs relating to already satisfied obligations and abnormal waste.

• Amortise/impair qualifying cost assets.

(see section 10)

• For loss-making contracts, apply IAS 37 after IFRS 15 .

CHECK BEFORE MOVING ON

• **Trap:** a revenue calculation without advice on timing, performance obligations and the correct contract balance is incomplete.

Sources: ARP Guide pp62-70; Batch 1 APQ M4; Batch 3 ICQ M4 Lessons 1-5 and SB M4. Standards: IFRS 15; IAS 37.

Contract costs and balances: IFRS 15.91, 94, 95, 97, 99, 101, 105, 107, 108 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 12.

13 / Foreign-currency transactions and pensions

Module 4 | IAS 21 / IAS 19

13.1 Foreign-currency transaction sequence

1. Recognise the transaction at spot rate on transaction date.
2. At year end, retranslate monetary balances at closing rate.

• Recognise exchange movement in P/L in the category appropriate to the underlying transaction.

3. On settlement, compare cash translated at settlement rate with the latest carrying amount; recognise the further difference.
4. Non-monetary historical-cost items retain the transaction-date rate.

• Non-monetary FV items use the rate at valuation date, with the exchange component following the FV gain/loss destination.

Item	Treatment
Trade receivable/payable	Monetary; closing-rate retranslation; operating P/L
Borrowing	Monetary; closing-rate retranslation; financing P/L as applicable
Historical-cost inventory/PPE	Non-monetary; no closing-rate retranslation
Revalued PPE	Rate at revaluation; apply IAS 16 OCI/P/L treatment

If rates are foreign currency per £1, divide foreign amounts by the rate.

• Label whether a movement is a gain or loss.

• Do not use foreign-subsidiary OCI translation rules for an ordinary trade receivable.

13.2 Defined contribution versus defined benefit

Defined contribution: recognise contribution expense for employee service and unpaid contributions as a liability.

• **Defined benefit:** calculate obligation and plan-asset movements, then net deficit/surplus subject to the asset-ceiling rules.

Foreign-currency transactions: IAS 21.21, 23, 28, 30 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 13.

13 / Foreign-currency transactions and pensions

Module 4 | IAS 21 / IAS 19

13.3 Defined-benefit schedule

Obligation: opening + current/past service cost + interest +/- actuarial change - benefits paid = closing.

Plan assets: opening + interest income + contributions +/- return excluding interest - benefits paid = closing.

Net interest uses the relevant opening net position and timing adjustments.

• **Contributions/benefits at start:** full-year adjustment; at end: no interest adjustment; evenly throughout or mid-year: half-year adjustment in the course examples.

Component	Destination / entry logic
Service cost	Operating P/L; increases net liability
Net interest	Financing P/L under course presentation; increases/decreases net liability
Actuarial change / asset return excluding interest	OCI; not subsequently recycled
Employer contributions	Dr net pension liability; Cr cash
Benefits paid by plan	Reduce obligation and plan assets; normally no direct change to net deficit

Calculate remeasurement as the balancing amount in each schedule when closing actuarial/FV figures are supplied.

• Separate tax on P/L and OCI movements.

CHECK BEFORE MOVING ON

• **Traps:** actual asset return used as P/L interest income; contributions treated as service cost; benefits paid twice; remeasurement sent to P/L; interest calculated without timing adjustments.

Sources: ARP Guide pp70-74; Batch 1 APQ M4; Batch 3 ICQ M4 Lessons 6-7 and SB M4. Standards: IAS 21; IAS 19.

Pension schedules: IAS 19.51, 57, 120, 122, 123, 127 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 13.

13 / Foreign currency and pensions: workings

Module 4 | IAS 21 / IAS 19

Foreign-currency payable

When the quote is foreign-currency units per £, divide the foreign-currency amount by the transaction-date rate for initial recognition. Divide the same amount by the closing rate for the year-end liability. A higher £ liability is an exchange loss; a lower £ liability is a gain.

Transaction / working	Debit	Credit
Payable increases on retranslation	Exchange loss	Payable
Payable decreases	Payable	Exchange gain

For a receivable, an increase is a gain and a decrease a loss. P/L category follows the underlying transaction. Historical-cost non-monetary items are not retranslated; FV items use the valuation-date rate.

Defined-benefit pension: separate P/L from OCI

Transaction / working	Debit	Credit
Current / past service cost	Staff expense	Net pension liability
Net interest on opening deficit	Finance expense	Net pension liability
Contribution paid	Net pension liability	Cash
Remeasurement loss	OCI	Net pension liability
Remeasurement gain	Net pension liability	OCI

If contributions were wrongly expensed and cash already recorded, Dr net pension liability / Cr staff expense. Build asset and obligation roll-forwards separately; use remeasurement as the reconciliation to closing actuarial values, not as a substitute for service / interest calculations.

References: ARP Study Guide pp70-74; APQ M4 Q10-Q12. IAS 21; IAS 19.

Foreign-currency transactions: IAS 21.21, 23, 28, 30 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 13.

14 / Share-based payments: cumulative working

Module 4 | IFRS 2 / IAS 12

Cumulative amount = expected vesting instruments × relevant FV × service fraction

Current-year charge = required cumulative amount − amount recognised previously

Equity-settled employee awards: grant-date FV. Cash-settled awards: current FV, remeasured through settlement. Use expected service/non-market vesting outcomes; distinguish market/non-vesting conditions.

Event	Debit	Credit
Equity-settled charge	Staff expense / qualifying asset	Equity
Cash-settled charge	Staff expense / qualifying asset	Other payables
Cash award remeasurement loss	P/L expense	Other payables
Cash settlement after remeasurement	Other payables	Cash

Course equity-option entries may use retained earnings; immediate share issues use share capital/premium. Keep the account label required by the course question.

Cash-settled remeasurement gains/losses go to P/L even if the original service cost qualified as an asset. After equity vesting, do not reverse the recognised amount merely because options lapse unexercised.

Sources: APQ M4 Q13-Q16; ICQ M4 Lessons 8-11; ARP Guide pp75-80. IFRS 2.7, 11, 15, 19, 21, 23, 30, 32; IAS 12.68A-68C.

Equity-settled awards: IFRS 2.7, 11, 15, 19, 21, 23, 27 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 14.

14 / Share-based payments

Module 4 | IFRS 2 / IAS 12

14.1 Identify settlement and counterparty

Equity-settled → equity credit.

• Cash-settled → liability credit.

• Employee awards use instrument FV at grant date for equity-settled measurement; supplier awards generally use reliably measurable goods/services FV.

• The course excludes awards with a choice of settlement.

Feature	Equity-settled	Cash-settled SARs
Measurement	Grant-date FV for employee award	Current FV of liability
Remeasure instrument FV?	No	At each reporting and settlement date
Credit account	Equity; course uses retained earnings for options	Other payables
Periodic amount	Required cumulative equity - prior recognised amount	Required closing liability - prior balance, adjusted for settlements

14.2 Employee-award sequence

1. Establish grant date, vesting period, instruments per employee and grant-date/current FV as appropriate.
2. Identify service and performance conditions.

• Distinguish market conditions from non-market conditions.

3. Estimate the number expected to vest for service/non-market conditions and revise each reporting date.
4. Calculate cumulative required amount = expected instruments vesting x relevant FV x proportion of vesting service completed.
5. Deduct the cumulative amount already recognised to find this period's charge/reversal.

Cash awards and notes: IFRS 2.30, 32, 33A, 33B, 44, 45, 50 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 14.

14 / Share-based payments

Module 4 | IFRS 2 / IAS 12

6 At vesting, true up for actual service/non-market outcomes.

• For equity awards, do not reverse merely because a market condition fails if the required service/other conditions have been satisfied.

14.3 Journals and later events

Equity employee charge: Dr staff expense; Cr retained earnings/equity reserve.

• **Cash-settled charge:** Dr expense; Cr other payables.

• **On cash settlement:** Dr liability; Cr cash after final FV remeasurement.

• Remeasurement gains/losses on cash-settled awards go to P/L, including where the original goods/services qualified as an asset.

On exercise of equity options, recognise cash received and share capital/share premium; do not create a new employee-service expense merely because the options are exercised.

• Use the course's reserve convention consistently.

14.4 Tax and distributable reserves

Where the requirement includes tax, calculate the expected tax deduction using the relevant tax rules and current share value, not automatically grant-date FV.

• Compare the tax benefit with the cumulative remuneration expense to determine the P/L/equity split under IAS 12.

The guide states that the equity credit for share options is legally distributable in the course treatment; do not automatically remove it again from distributable reserves.

CHECK BEFORE MOVING ON

• **Traps:** year-end FV used for equity awards; grant-date FV retained for SARs; total award value expensed immediately despite a service period; expected leavers not updated; cumulative charge posted again in full.

Sources: ARP Guide pp75-80; Batch 1 APQ M4; Batch 3 ICQ M4 Lessons 8-11 and SB M4. Standards: IFRS 2; IAS 12.

Tax on share awards: IAS 12.68A, 68B, 68C LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 14.

14.6 Construct the share-based-payment disclosure

Describe the arrangement: equity-settled or cash-settled; who receives the awards; service and performance conditions; vesting period; maximum option term; and settlement method. Apply the facts rather than repeating a generic list.

Reconcile option numbers and weighted-average exercise prices: opening outstanding; granted; forfeited; exercised; expired; closing outstanding; and closing exercisable. For exercised options, disclose the relevant weighted-average share price; for closing outstanding options, the exercise-price range and weighted-average remaining contractual life.

Explain fair-value measurement where applicable: valuation model and significant inputs, including share price, exercise price, volatility and how it was estimated, option life, expected dividends and risk-free rate; explain treatment of market conditions and relevant modifications. Do not invent a model or inputs absent from the question.

State the total period expense and the portion from equity-settled arrangements. For cash-settled arrangements, include the closing liability and the intrinsic value of vested rights. The accumulated equity balance is reflected in the statement of changes in equity; it is not a

14 / Share-based payments

Module 4 | IFRS 2 / IAS 12

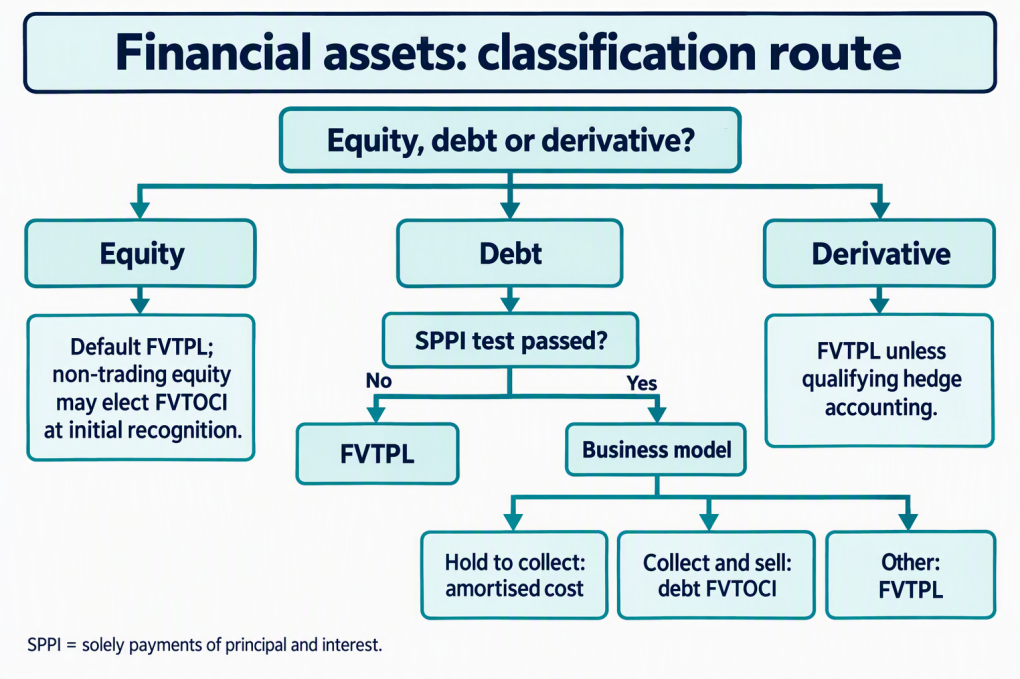
substitute for the expense disclosure.

Unitron M4 Q14: explain the four-year service condition and profit-growth condition; distinguish the £390,000 current expense from the £1,950,000 closing equity balance. Another year of service does not itself create a new grant. Use only grants supported by the facts in the option reconciliation.

Sources: IFRS 2.44-47, 50-51; ARP Study Guide share-payment disclosures; APQ M4 Q14; verification report.

15 / Financial asset classification and measurement

Module 5 | IFRS 9 / IFRS 7



amortised-cost journal: arrears

Calculate interest income by multiplying the opening gross carrying amount by the effective interest rate. Add that income to the opening balance and deduct the coupon received to obtain the closing gross carrying amount.

Transaction / working	Debit	Credit
Effective interest	Financial asset: opening gross carrying amount × effective interest rate	Interest income: opening gross carrying amount × effective interest rate
Coupon received	Cash: coupon received	Financial asset: coupon received
FVTPL remeasurement gain	Financial asset	P/L fair-value gain
FVTOCI remeasurement gain	Financial asset	OCI remeasurement reserve

FVTPL acquisition costs: expense. Amortised cost / FVTOCI acquisition costs: add to initial asset. Debt FVTOCI needs both amortised-cost and FV workings.

References: ARP Study Guide pp87-91; APQ M5 Q4-Q9. IFRS 9.

Financial-asset classification: IFRS 9.4.1.1, 4.1.2, 4.1.2A, 4.1.4, 5.7.5 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 15.

15 / Financial asset classification and measurement

Module 5 | IFRS 9 / IFRS 7

15.1 Classification decision

1. Equity or debt?

• Derivatives are normally FVTPL.

2. **Equity:** default FVTPL; irrevocable FVTOCI election available at initial recognition for eligible non-trading equity.

3. **Debt:** test solely payments of principal and interest (SPPI).

• Fail → FVTPL.

4. **Pass SPPI → assess business model:** hold to collect → amortised cost; collect and sell → FVTOCI; other → FVTPL.

• Holding period alone is not the classification test.

Category	Initial amount	Subsequent measurement
FVTPL	FV; transaction costs expensed	FV; movement to P/L
Amortised cost	FV + eligible transaction costs	Effective-interest amortised cost, less ECL
FVTOCI debt	FV + eligible transaction costs	FV; interest/ECL/appropriate FX in P/L, residual FV movement in OCI
FVTOCI equity	FV + eligible transaction costs	FV movement in OCI; no P/L recycling on disposal

15.2 Amortised-cost schedule

Opening gross carrying amount + effective-interest income - cash receipts = closing gross carrying amount.

• Coupon cash = nominal x coupon rate; interest income = relevant opening balance x EIR.

• Adjust for partial periods and advance payments if applicable.

(see section 16)

• Then calculate ECL separately .

Measurement and FVTOCI: IFRS 9.5.1.1, 5.4.1, 5.7.6, 5.7.10, B5.7.1 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 15.

15 / Financial asset classification and measurement

Module 5 | IFRS 9 / IFRS 7

Combined arrears journal: Dr cash for coupon; Dr financial asset for accretion (or Cr for amortisation of premium); Cr interest income at EIR.

• If cash is already recorded, post only the correction needed.

15.3 FVTOCI debt: separate components

Maintain an amortised-cost working even though SOFP presentation is FV.

• Recognise EIR income in P/L and ECL in P/L with the appropriate OCI counterpart; the loss allowance does not reduce the FV carrying amount on the face of the SOFP.

• On disposal, recycle accumulated relevant OCI to P/L.

15.4 FVTOCI equity: disposal sequence

Remeasure to disposal-date FV through OCI; derecognise for proceeds; do not recycle accumulated OCI to P/L.

• A transfer within equity may be made.

• Dividends normally go to P/L unless they clearly represent recovery of investment cost.

15.5 Checks

Explain SPPI and the business model using scenario facts.

• Identify the correct IFRS 18 P/L category from the entity's main business activity.

• Separate fair-value remeasurement from ECL and foreign exchange where relevant.

CHECK BEFORE MOVING ON

• **Traps:** all FV gains to OCI; debt/equity FVTOCI treated identically; transaction costs capitalised for FVTPL; coupon confused with EIR; class chosen solely from 'long term'.

Sources: ARP Guide pp87-91; Batch 1 APQ M5; Batch 3 ICQ M5 Lessons 4-7 and SB M5. Standards: IFRS 9; IFRS 7.

Financial-asset classification: IFRS 9.4.1.1, 4.1.2, 4.1.2A, 4.1.4, 5.7.5 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 15.

15.5 Disposal: separate remeasurement, selling costs and correction

First remeasure the investment to disposal-date fair value where required. Then derecognise it using the gross sale price, not the net cash receipt. Selling costs are a separate profit-or-loss expense: do not reduce the fair-value remeasurement by those costs.

For an ordinary non-investment / non-financing business, income and expenses from relevant standalone investments, their remeasurement and derecognition, and directly attributable disposal costs are in the IFRS 18 investing category. Check main-business-activity exceptions. A non-hedging option on such an investment follows the relevant investing-category route. This is profit-or-loss presentation, not a cash-flow classification instruction.

If cash has not been recorded: debit cash for net proceeds; debit selling-cost expense for the costs; credit the investment for its disposal-date carrying amount. If net proceeds were already credited to income or suspense, debit that recorded income or suspense instead of cash. Post any separate remeasurement first.

Equity FVTOCI: the final fair-value movement remains in OCI. Do not recycle the accumulated reserve to profit or loss; any transfer is within equity. Selling costs still go to profit or loss. Debt FVTOCI has a different recycling rule.

15 / Financial asset classification and measurement

Module 5 | IFRS 9 / IFRS 7

Patel M5 Q10, Qzee: debit other operating income £390,600; debit selling-cost expense £1,000; credit investment £391,600, after the £77,600 OCI remeasurement. Transfer the £83,600 **accumulated reserve within equity where required. Octagon:** debit suspense £2,227,000; debit selling-cost expense £23,000; credit investment £2,250,000, after the £382,500 fair-value loss. **These are correction entries:** do not debit bank again.

Sources: APQ M5 Q10; verification report Patel demonstration; IFRS 18.53(c), 54(b)-(c); IFRS 9.3.2.12, 5.7.5-6.

16 / ECL, derecognition and instrument disclosures

Module 5 | IFRS 9 / IFRS 7

16.1 ECL: decide the stage first

Stage	Trigger	Allowance	Interest base
1	No significant increase in credit risk	12-month ECL	Gross carrying amount
2	Significant increase since initial recognition	Lifetime ECL	Gross carrying amount
3	Credit-impaired	Lifetime ECL	Net carrying amount

Significant risk increase: deteriorating operating results, adverse business/economic conditions, credit downgrade or adverse regulatory/technological change.

• **Credit impairment:** significant financial difficulty, default/breach or probable bankruptcy/reorganisation.

• Link the facts to the stage rather than merely naming it.

16.2 Calculate the cash shortfall

1. Establish contractual cash flows and expected recoveries, including relevant security.

2. Discount shortfalls at the relevant original EIR.

• Consider probability-weighted outcomes and timing.

3. **Where the question supplies PD and LGD:** ECL = probability of default x PV loss given default.

• Use the horizon consistent with the stage.

4. Required closing allowance - opening allowance = impairment charge/reversal.

5. **Amortised-cost asset:** Dr impairment expense; Cr loss allowance for an increase.

• Present net of allowance.

Trade receivables under the simplified approach use lifetime ECL; a provision matrix may be supplied.

ECL stages and cash shortfall: IFRS 9.5.5.3, 5.5.5, 5.5.8, 5.5.15, 5.5.17 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 16.

16 / ECL, derecognition and instrument disclosures

Module 5 | IFRS 9 / IFRS 7

• A 12-month ECL is not merely the cash shortfalls occurring in the next 12 months: it relates to defaults possible in that period.

16.3 Derecognition and write-off

For transfers, assess expiry/transfer of contractual cash-flow rights, risks and rewards, and control where necessary.

• A transfer with substantial risks retained may remain on balance sheet with a financing liability.

• Do not equate receipt of cash with derecognition.

Write off an irrecoverable receivable when there is no reasonable expectation of recovery.

• Use the existing allowance and recognise any additional loss.

• Do not leave a known irrecoverable balance merely with a generic new allowance.

16.4 IFRS 7: tailor the note

• **Significance:** carrying amounts by relevant measurement category, related income/expense and relevant accounting information.

• **Credit risk:** exposure, concentrations, credit-risk management, ECL assumptions and allowance movements where required.

• **Liquidity risk:** contractual maturity information and how funding/settlement risk is managed.

• **Market risk:** relevant interest-rate, currency and price exposures, including sensitivity information as required.

Define each risk, identify the actual instrument and explain the effect.

• For example, a customer loan creates borrower default risk; a maturing bond creates the issuer's liquidity risk.

CHECK BEFORE MOVING ON

• **Traps:** PD applied to undiscounted shortfall without checking the question; Stage 3 interest on gross; generic disclosures unrelated to the instruments; ECL charge equal to closing allowance.

Sources: ARP Guide pp89-95; Batch 1 APQ M5 Q12; Batch 2 Term 4 2025 Q2/Q4; Batch 3 ICQ M5. Standards: IFRS 9; IFRS 7.

Asset derecognition: IFRS 9.3.2.3, 3.2.6, 3.2.12, 3.2.16 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 16.

16 / ECL and derecognition: working and journals

Module 5 | IFRS 9 / IFRS 7

ECL branches

Credit position	ECL / interest
Stage 1: no significant credit-risk increase	12-month ECL; interest on gross CA
Stage 2: significant credit-risk increase	Lifetime ECL; interest on gross CA
Stage 3: credit-impaired	Lifetime ECL; interest on net CA
Simplified trade-receivable approach	Lifetime ECL from initial recognition

ECL

For each outcome: probability × PV of cash shortfall. Sum the outcomes. Use separate interest and principal shortfalls where their probabilities / dates differ. Movement allowance increase = required closing allowance − opening allowance.

Transaction / working	Debit	Credit
Amortised-cost asset: allowance increase allowance increase	Impairment expense: allowance increase	Loss allowance: allowance increase
Debt FVTOCI: allowance increase allowance increase	Impairment expense: allowance increase	OCI accumulated impairment: allowance increase

Debt FVTOCI remains at FV in the SOFP; do not deduct the allowance again. For an allowance reduction, reverse the entry.

Derecognition

Remeasure to disposal-date FV where required; remove the asset and compare proceeds with CA. Debt FVTOCI: recycle accumulated OCI to P/L. Equity FVTOCI: no recycling to P/L; transfer within equity where applicable. If substantially all risks / rewards are retained, keep the asset and recognise financing proceeds as a liability.

References: ARP Study Guide pp89-94; APQ M5 Q8-Q10. IFRS 9.

Instrument disclosure: IFRS 7.7, 20, 31, 33, 34, 35F, 39 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 16.

Twelve-month ECL horizon

Twelve-month ECL relates to lifetime cash shortfalls from defaults possible within that horizon; it is not merely cash shortfalls expected in the next twelve months. Source: IFRS 9.5.5.5, 5.5.17; ARP v6 ECL application material.

17 / Share capital, buybacks and distributable profits

Module 5 | IAS 32 / Companies Act extracts

17.1 Share issue mechanics

Transaction	Debit	Credit
Cash issue	Cash	Share capital at nominal; share premium for excess
Shares for non-cash asset	Asset at relevant FV	Share capital at nominal; share premium for excess
Bonus issue	Eligible reserve	Share capital at nominal
Direct equity issue costs	Equity/share premium as appropriate	Cash/payable

Check whether an instrument is genuinely equity: a contractual obligation to deliver cash may make preference shares a liability, regardless of the legal label.

17.2 Buyback: five workings

1. Read the statutory extract and assess distributable reserves/funding conditions.

• Do not assume every positive retained-earnings balance is legally distributable.

2. **Purchase:** Dr share capital for nominal; Dr premium on purchase for excess; Cr cash for total.

3. **Record any new issue funding the purchase:** split nominal and premium.

4. Eliminate premium on purchase using the permitted new-issue premium to the allowed extent, then retained earnings.

• Existing share premium is not freely available merely because it exists.

5. Replace the relevant nominal capital through capital redemption reserve (CRR), allowing for eligible nominal proceeds of a new issue under the supplied rules: Dr retained earnings; Cr CRR.

With no new issue, the course example uses retained earnings for the purchase premium and creates CRR for the nominal amount bought back.

Equity and treasury shares: IAS 32.15, 16, 33, 35, 37 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 17.

17 / Share capital, buybacks and distributable profits

Module 5 | IAS 32 / Companies Act extracts

17.3 Distributable profits: build a reconciliation

Start with the relevant accumulated profits/reserves.

• Identify realised profits and realised/unrealised losses using the supplied Companies Act extract and the course's specific treatments.

• Remove non-distributable amounts; include required losses.

• Assess any additional net-assets restriction for a public company.

Keep revaluation surplus, share premium, CRR and other capital reserves distinct from distributable retained earnings.

• Do not use total equity as the dividend capacity.

• Apply the guide's treatment of share-based-payment equity credits rather than assuming all non-cash credits are unrealised.

17.4 SOCIE links

Share issue increases share capital/premium.

• Buyback removes capital, reduces relevant reserves and may create CRR.

• Bonus issue moves reserves to capital without changing total equity.

• A revaluation reserve transfer is not a new profit or dividend.

17.5 Final checks

Nominal shares x nominal value reconciles to share capital.

• Cash paid reconciles to shares repurchased x price.

• Premium-on-purchase suspense clears.

• CRR is included in the correct equity column.

• Dividend capacity is justified with the statutory conditions.

CHECK BEFORE MOVING ON

• **Traps:** all proceeds credited to share capital; share issue costs in P/L; existing premium used without legal basis; CRR omitted; accounting profit treated as distributable profit.

Sources: ARP Guide pp82-86; Batch 1 APQ M1 Q1 and M5; Batch 3 ICQ M5 Lessons 1-3. Standards: IAS 32 and supplied Companies Act extracts.

Equity and treasury shares: IAS 32.15, 16, 33, 35, 37 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 17.

17 / Share capital and buybacks: journals

Module 5 | IAS 32 / Companies Act extracts

New share issue

Cash received: multiply shares issued by issue price per share. Share capital: multiply shares issued by nominal value per share. Share premium: cash received less the share capital credited.

Transaction / working	Debit	Credit
Cash share issue	Cash: number of shares × issue price per share	Share capital: number of shares × nominal value per share Share premium: number of shares × (issue price per share − nominal value per share)

Buyback with no replacement issue: course pattern

Transaction / working	Debit	Credit
	Share capital: number of shares × nominal value per share Premium on purchase: total repurchase price − number of shares × nominal value per share	
Purchase number of shares shares for total total repurchase price		Cash: total repurchase price
Eliminate purchase premium	Retained earnings: total repurchase price − number of shares × nominal value per share	Premium on purchase: same
Create capital redemption reserve	Retained earnings: number of shares × nominal value per share	Capital redemption reserve: number of shares × nominal value per share

Where there is a replacement issue, use the supplied statutory extract to determine the permitted premium funding and CRR amount; do not apply the no-new-issue pattern unchanged.

Distributable profits

Start from realised profits less realised losses and apply the statutory / course adjustments. Do not assume every accounting reserve is distributable. Keep the legal working separate from the SOCIE and cash movement.

References: ARP Study Guide pp84-87; APQ M1 Q1; APQ M5. IAS 32; Companies Act extracts.

Equity and treasury shares: IAS 32.15, 16, 33, 35, 37 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 17.

18 / Financial liabilities and convertible debt

Module 5 | IAS 32 / IFRS 9

18.1 Classification and initial measurement

Determine the contractual substance.

• **Ordinary amortised-cost liability:** FV less eligible transaction costs; subsequent EIR accounting.

• **FVTPL liability:** FV with transaction costs expensed.

• Consider a valid FVTPL designation where it eliminates/significantly reduces an accounting mismatch, as in the course example of a liability funding an FVTPL investment.

18.2 Amortised-cost schedule

Opening liability + effective finance expense - coupon/payment = closing liability.

• Finance expense uses EIR; cash uses the contractual coupon.

• Issue costs reduce the initial liability and are absorbed through EIR, not expensed again each year.

Entry	Debit	Credit
Initial borrowing	Cash, net of eligible costs	Liability
Finance charge	Finance expense	Liability
Coupon/payment	Liability	Cash
Redemption	Liability, plus/minus settlement difference	Cash, plus/minus P/L difference

For a liability designated FVTPL, distinguish own-credit effects normally recognised in OCI from other FV changes in P/L, subject to the accounting-mismatch exception.

• Keep narrative and journal destinations consistent.

18.3 Convertible debt: split at issue

1. Identify a genuine equity conversion component under IAS 32, rather than assuming every convertible is compound equity/liability.
2. Discount contractual interest and redemption cash flows using the market rate for comparable debt without conversion.
3. Liability component = PV of those cash flows.

Compound instrument: IAS 32.28, 31, 32 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 18.

18 / Financial liabilities and convertible debt

Module 5 | IAS 32 / IFRS 9

4. Equity component = issue proceeds - liability component.
5. Allocate eligible issue costs to components in proportion to the initial split.
6. Subsequently apply EIR to the liability; do not remeasure the equity component.

Initial entry: Dr cash; Cr liability; Cr equity.

• **Annual entry:** Dr finance expense; Cr cash for coupon; Cr liability for accretion (or separate the cash and finance entries).

18.4 Conversion/redemption

At conversion under original terms, remove the liability and recognise the relevant equity; account for any equity-reserve transfer consistently with the required presentation.

• Do not recognise a gain simply because the market share price has changed.

• On redemption without conversion, settle the liability and consider the equity component's within-equity treatment.

18.5 Correction journal discipline

If the draft recognised the whole proceeds as debt, correct the split without recording cash again.

• If the coupon was expensed, calculate the additional EIR charge and liability accretion rather than posting the whole finance charge twice.

CHECK BEFORE MOVING ON

• **Traps:** liability discounted at coupon rather than market rate; equity remeasured annually; coupon used for EPS add-back; issue costs treated like equity share issue costs for the entire compound instrument.

Sources: ARP Guide pp82-84, 92-95; Batch 1 APQ M5; Batch 2 Term 4 2025 Q1; Batch 3 ICQ M5 Lessons 1-2, 8-9. Standards: IAS 32; IFRS 9.

Financial liability measurement and disposal: IFRS 9.4.2.1, 5.1.1, 5.4.1, 3.3.1, 3.3.3 LOOK UP: criteria / exceptions / note **lists. KNOW:** workings and journals. Book guide section 18.

18 / Convertible debt and liabilities: journals

Module 5 | IAS 32 / IFRS 9

Split a compound instrument at issue

First calculate the present value of coupons and redemption using the market rate for equivalent **non-convertible debt:** this is the liability component. Deduct it from the issue proceeds to obtain the equity component. Allocate issue costs between liability and equity in the initial proportions.

Transaction / working	Debit	Credit
Initial recognition	Cash: cash proceeds	Liability: liability component Equity component: equity component
Effective finance cost at rate effective interest rate	Finance expense: opening liability component × effective interest rate	Liability: same
Coupon coupon paid paid	Liability: coupon paid	Cash: coupon paid
Conversion	Liability: carrying amount at conversion	Share capital: nominal Share premium: balance

Equity component is not remeasured; any transfer is within equity. Update liability to conversion / redemption date first.

Amortised-cost liability schedule

Opening liability + effective finance cost − coupon / repayment = closing liability. Issue costs reduce the initial amortised-cost liability. Early redemption gain/loss compares liability derecognised with consideration paid.

Correction example

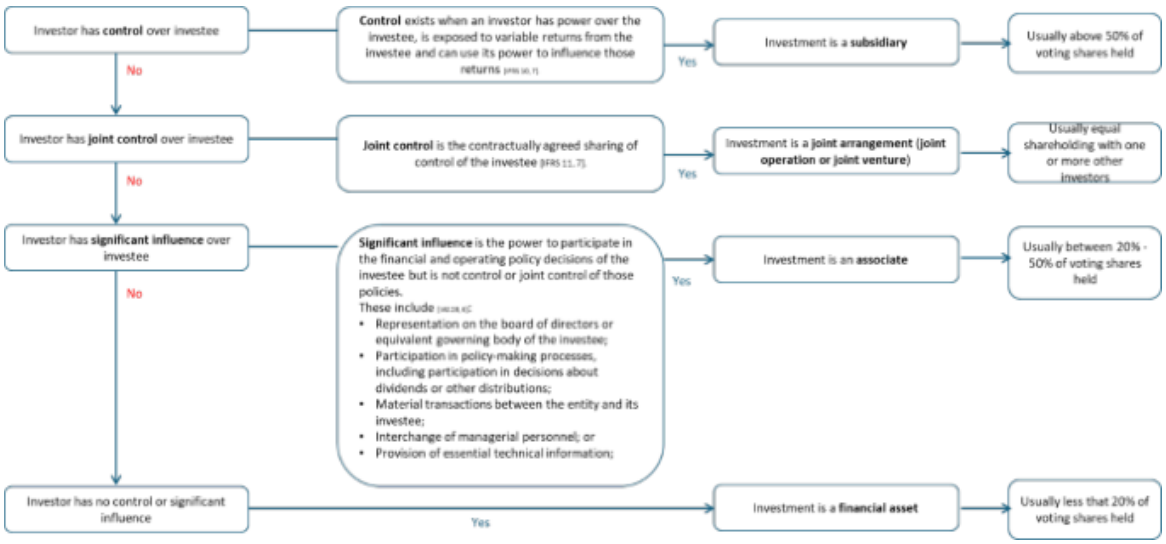
If issue costs were expensed, correct by Dr liability / Cr expense for the capitalisable amount. If coupon cash was already recorded, post only the missing effective-interest accretion, not a second cash payment.

References: ARP Study Guide pp82-84, 92-93; APQ M5 Q1-Q3, Q11. IAS 32; IFRS 9.

Compound instrument: IAS 32.28, 31, 32 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 18.

19 / Acquisition accounting and consolidation sequence

Module 6 | IFRS 3 / IFRS 10 / IAS 36



Pre-consolidation

Control = power over relevant activities + exposure / rights to variable returns + ability to use power to affect returns. Assess substantive rights, agency and de facto control. Align policies and correct individual-account errors before acquisition FV adjustments.

Step Action

1 Add parent and subsidiary line by line. For a mid-year acquisition, include only post-acquisition subsidiary P/L.

2 Eliminate investment and acquisition equity; recognise FV net assets, goodwill and NCI.

3 Recognise goodwill impairment: current-year versus historical.

4 Allocate historical post-acquisition profit / OCI to NCI.

5 Allocate current-year post-acquisition profit / OCI to NCI.

6 Eliminate internal balances / transactions and subsequent FV effects; adjust NCI where relevant.

Add ownership-change / disposal adjustments where required. Perform the final transfer only when requested.

References: ARP Study Guide pp97-103; APQ M6 Q1-Q2, Q6; AAPQ Q26, Q31, Q34; Term 2 2026 Q6-Q7. IFRS 3; IFRS 10; IAS 36.

Acquisition date and net assets: IFRS 3.7, 8, 10, 18, 19, 24 LOOK UP: criteria / exceptions / note lists. KNOW: workings an journals. Book guide section 19.

19.7 Control: substantive rights versus protective rights

Assess all three elements: power over relevant activities; exposure or rights to variable returns; and the ability to use power to affect those returns. Identify the decisions that drive returns and who currently directs them.

Substantive rights give their holder the practical ability to exercise them when decisions need to be made. Consider barriers, timing and whether the holder benefits from exercise. Protective rights safeguard an interest without giving power over relevant activities: a lender’s veto over exceptional capital expenditure or a right triggered by default is not automatically control.

Do not decide from the ownership percentage or a veto alone. In a franchise scenario such as Pizzaworld (M6 Q10), distinguish rights protecting the brand from rights directing the franchisee’s

19 / Acquisition accounting and consolidation sequence

Module 6 | IFRS 3 / IFRS 10 / IAS 36

relevant operating and financing activities. State the conclusion and the facts supporting each control element.

Sources: IFRS 10.7, 10, B22-B28, B29-B33; APQ M6 Q10; verification report.

19 / Consideration and goodwill

Module 6 | IFRS 3 / IFRS 10 / IAS 36

Consideration	Acquisition-date measurement
Cash	Amount paid
Deferred cash	Present value at acquisition; subsequent unwind is finance cost
Parent shares	Market price × shares issued; split nominal value / premium in parent entry
Debt instruments issued	Fair value of the debt instrument
Contingent consideration	Acquisition-date FV; subsequent treatment depends on classification
Previously held interest	FV when control is obtained; assess remeasurement and OCI treatment

Goodwill working

Component	Calculation / treatment
FV consideration transferred	consideration transferred
NCI at acquisition	NCI at acquisition
FV of previously held interest	fair value of previously held interest
Less FV identifiable net assets	(fair value of identifiable net assets)
Goodwill / bargain purchase	consideration transferred + NCI at acquisition + fair value of previously held interest − fair value of identifiable net assets

If negative, reassess inputs before recognising a bargain-purchase gain in P/L. Advisory costs are expensed; debt / equity issue costs follow instrument rules. Do not count a previous holding twice.

NCI method

Proportionate-net-assets method: multiply acquisition-date identifiable net assets by the NCI **percentage; this produces partial goodwill. Fair-value method:** use the acquisition-date fair value of NCI; this produces full goodwill. Use the question’s stated method, not the RP2 default.

References: ARP Study Guide pp97-103; APQ M6 Q1-Q2, Q6; AAPQ Q26, Q31, Q34; Term 2 2026 Q6-Q7. IFRS 3; IFRS 10; IAS 36.

Goodwill and consideration: IFRS 3.32, 34, 37, 39, 45, 53, 58 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 19.

19 / Acquisition journal and consideration entries

Module 6 | IFRS 3 / IFRS 10 / IAS 36

Acquisition journal: eliminate the investment

Side	Account	Amount / basis
Dr	Subsidiary share capital / premium	Acquisition-date balances
Dr	Subsidiary retained earnings / other reserves	Acquisition-date balances
Dr	FV asset uplifts / new identifiable intangibles	Acquisition-date adjustments
Dr	Goodwill	Positive goodwill working
Cr	Investment in subsidiary	Recorded acquisition investment, after corrections
Cr	Acquisition liabilities / relevant DTL	FV liabilities / tax adjustment
Cr	NCI (SOFP)	NCI at acquisition

Reverse directions for FV decreases. For a bargain purchase, credit the P/L gain instead of debiting goodwill after reassessing the inputs. Recognise qualifying intangibles and contingent liabilities; consider deferred tax.

Parent’s consideration entries

Transaction / working	Debit	Credit
Deferred consideration	Investment: acquisition PV	Deferred consideration: acquisition PV
Discount unwind	Finance expense	Deferred consideration
Shares issued as consideration	Investment: acquisition-date market value	Share capital: nominal Share premium: balance

An error / policy correction in the subsidiary is not the same as a consolidation-only FV uplift. Do not record the same adjustment twice.

References: ARP Study Guide pp97-103; APQ M6 Q1-Q2, Q6; AAPQ Q26, Q31, Q34; Term 2 2026 Q6-Q7. IFRS 3; IFRS 10; IAS 36.

Acquisition date and net assets: IFRS 3.7, 8, 10, 18, 19, 24 LOOK UP: criteria / exceptions / note lists. KNOW: workings an journals. Book guide section 19.

19 / Post-acquisition movements and NCI

Module 6 | IFRS 3 / IFRS 10 / IAS 36

Historical and current-year allocation

Transaction / working	Debit	Credit
Historical post-acquisition profit historical post-acquisition profit; NCI fraction NCI percentage	Retained earnings: NCI percentage × historical post-acquisition profit	NCI (SOFP): NCI percentage × historical post-acquisition profit
Current post-acquisition profit current post-acquisition profit; NCI fraction NCI percentage	current post-acquisition profit/remaining useful life attribution to NCI: NCI percentage × current post-acquisition profit	NCI (SOFP): NCI percentage × current post-acquisition profit
NCI share of current OCI	OCI attribution to NCI	NCI (SOFP)

Reverse for losses. Use adjusted subsidiary profits and the ownership percentage applicable to each dated period. Do not apply NCI to parent-only profits.

Subsequent FV effects

Transaction / working	Debit	Credit
PPE uplift fair-value uplift, remaining life remaining useful life, post-acquisition fraction relevant fraction of the year	Depreciation expense: fair-value uplift/remaining useful life × relevant fraction of the year	PPE accumulated depreciation: same
Inventory FV uplift sold this period	Cost of sales: uplift sold	Inventory: uplift sold
Acquisition intangible: amortisation	Amortisation expense	Accumulated amortisation

These affect subsidiary profit and NCI. Prior-period effects go to opening reserves; current-year **effects go to current post-acquisition profit/L. Goodwill impairment:** current loss to current post-acquisition profit/remaining useful life, historical loss to opening retained earnings. Full goodwill involves NCI; partial goodwill requires the gross-up test in section 7.

Mid-year example

If acquisition is relevant fraction of the year of a year before year end, post-acquisition profit = annual profit × relevant fraction of the year only where profits arise evenly. Acquisition retained earnings = opening RE + pre-acquisition profit − pre-acquisition dividends, adjusted for facts. SOFP uses full closing balances; current post-acquisition profit/remaining useful life uses the controlled period.

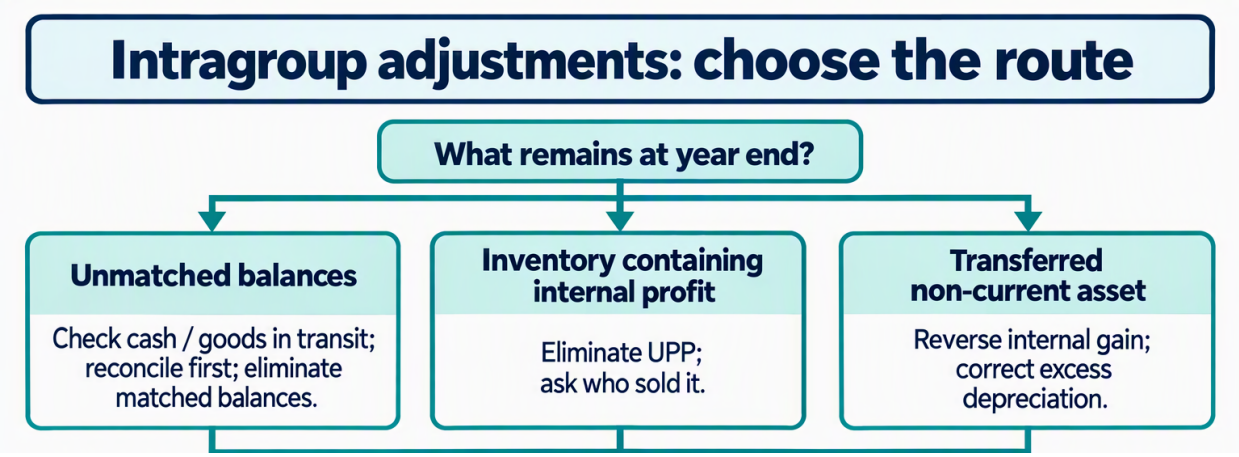
Final checks: dates, NCI method, intangibles, deferred tax, issue / advisory costs, FV effects and the requested final transfer.

References: ARP Study Guide pp97-103; APQ M6 Q1-Q2, Q6; AAPQ Q26, Q31, Q34; Term 2 2026 Q6-Q7. IFRS 3; IFRS 10; IAS 36.

Acquisition date and net assets: IFRS 3.7, 8, 10, 18, 19, 24 LOOK UP: criteria / exceptions / note lists. KNOW: workings an journals. Book guide section 19.

20 / Intragroup adjustments and NCI

Module 6 | IFRS 10 / IAS 40



Elimination sequence

Order What to do

1. Reconcile internal balances; record cash / goods in transit in the receiving entity.
2. Eliminate matched receivables, payables and loans.
3. Cancel internal revenue / matching expense in full.
4. Remove profit still included in inventory or non-current assets.
5. Correct depreciation and subsequent acquisition FV effects.
6. Allocate NCI only where the adjusted profit belongs to the subsidiary.

Who made the profit?

Parent seller: parent bears the UPP / disposal-gain elimination. Subsidiary seller: NCI shares the subsidiary profit reduction. For an asset transfer, assess the buyer’s depreciation correction separately from the seller’s gain elimination. Pure balance eliminations and gross sales / cost cancellation have no profit effect.

References: ARP Study Guide Module 6; APQ M6, especially Q11; Term 3 2025 Q6-Q7; Term 2 2026 Q7; RP2 Study Aid consolidation A.4-A.6. IFRS 10.

Group eliminations and NCI: IFRS 10.B86, B87, B88, B94 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 20.

20 / Assets in transit and balance reconciliation

Module 6 | IFRS 10 / IAS 40

Cash in transit: record receipt, then eliminate

Receiver's receivable R exceeds payer's payable by cash T already sent. The payer has recorded payment; the receiver has not recorded receipt.

Transaction / working	Debit	Credit
1. Receipt in receiving entity	Cash / bank: T	Intercompany receivable: T
2. Eliminate matched balance R − T	Intercompany payable: R − T	Intercompany receivable: R − T

Goods in transit: record purchase, then eliminate

Seller has recorded the sale / receivable; buyer has not recorded goods or payable. Let invoice amount be G.

Transaction / working	Debit	Credit
1. Record goods in buyer	Inventory / purchases: G	Intercompany payable: G
2. Eliminate matched internal balance	Intercompany payable	Intercompany receivable
3. Cancel internal sale and cost	Revenue: full internal sale	Cost of sales: full internal sale
4. Remove internal profit in goods still held	Cost of sales: UPP	Inventory: UPP

Use the receiver's normal inventory / purchases convention. Record the transit adjustment only if missing; do not duplicate goods already included. Then test all closing inventory, including goods in transit, for internal profit.

Other matched balances

Loans: Dr loan payable / Cr loan receivable. Interest: cancel internal interest income and expense; eliminate accrued interest receivable / payable. No NCI profit effect from the balance cancellation itself.

References: ARP Study Guide Module 6; APQ M6, especially Q11; Term 3 2025 Q6-Q7; Term 2 2026 Q7; RP2 Study Aid consolidation A.4-A.6. IFRS 10.

Group property perspective: IAS 40.15 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 20.

20 / Inventory UPP and NCI journals

Module 6 | IFRS 10 / IAS 40

Calculate profit in inventory still held

Basis	UPP formula
Mark-up m on cost	Closing inventory at internal price × m / (1 + m)
Gross margin g on selling price	Closing inventory at internal price × g
Only fraction h of sales remains	Internal sales × h × relevant profit fraction
Transaction / working	Debit Credit
Cancel internal sales internal sales	Revenue: internal sales Cost of sales: internal sales
Eliminate closing UPP unrealised profit	Cost of sales: unrealised profit Inventory: unrealised profit
Subsidiary seller: NCI share NCI percentage	NCI (SOFP): NCI percentage × unrealised profit P/L attribution to NCI: NCI percentage × unrealised profit

Parent seller: no NCI allocation of the parent's UPP. The NCI entry reallocates the profit reduction; it is not a second expense.

Opening UPP realised this year

Transaction / working	Debit	Credit
Reverse prior-year UPP unrealised profit now sold externally	Opening retained earnings: unrealised profit	Current cost of sales: unrealised profit
Subsidiary seller: reverse NCI share NCI percentage	P/L attribution to NCI: NCI percentage × unrealised profit	NCI (SOFP): NCI percentage × unrealised profit

If some opening inventory remains, reverse only the realised part and calculate closing UPP separately. Distinguish current P/L from historical reserves; do not repeat the closing entry unchanged.

References: ARP Study Guide Module 6; APQ M6, especially Q11; Term 3 2025 Q6-Q7; Term 2 2026 Q7; RP2 Study Aid consolidation A.4-A.6. IFRS 10.

Group eliminations and NCI: IFRS 10.B86, B87, B88, B94 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 20.

20 / Internal non-current asset transfer

Module 6 | IFRS 10 / IAS 40

working

Internal gain: deduct the seller's carrying amount at transfer from the internal transfer **proceeds. Excess depreciation:** divide that gain by the remaining useful life and multiply by the post-transfer fraction of the year, assuming straight-line depreciation and unchanged useful life and residual value.

Transaction / working	Debit	Credit
Reverse current internal gain internal gain	Gain on disposal: internal gain	Non-current asset: internal gain
Reverse excess depreciation excess depreciation	Asset / accumulated depreciation: excess depreciation	Depreciation expense: excess depreciation

NCI: assess seller and buyer separately

Direction	Gain elimination	Depreciation correction
Parent → subsidiary	No NCI: parent profit reduced	Subsidiary profit rises: NCI share increases
Subsidiary → parent	Subsidiary profit reduced: NCI share falls	No NCI: parent depreciation corrected

Transaction / working	Debit	Credit
NCI share of subsidiary gain elimination	NCI (SOFP): NCI percentage × internal gain	transfer proceeds/remaining useful life attribution to NCI: NCI percentage × internal gain
NCI share of subsidiary depreciation reduction	transfer proceeds/remaining useful life attribution to NCI: NCI percentage × excess depreciation	NCI (SOFP): NCI percentage × excess depreciation

For a transfer in an earlier year, eliminate the historical gain against opening retained earnings and deal separately with prior / current depreciation. Use the asset's group carrying amount, not the internal transfer price.

References: ARP Study Guide Module 6; APQ M6, especially Q11; Term 3 2025 Q6-Q7; Term 2 2026 Q7; RP2 Study Aid consolidation A.4-A.6. IFRS 10.

Group eliminations and NCI: IFRS 10.B86, B87, B88, B94 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 20.

20 / Dividends, internal services and group property

Module 6 | IFRS 10 / IAS 40

Subsidiary dividend elimination

Entry	Account	Amount
Debit	Parent dividend income	Dividend attributable to the parent
Debit	Non-controlling interests (SOFP)	Dividend attributable to non-controlling interests
Credit	Subsidiary retained earnings	Total dividend declared by the subsidiary

This consolidation entry removes the parent's internal dividend income and reflects the external distribution to non-controlling interests. Do not record cash again if the dividend is already recorded.

Internal services and balances

Transaction / working	Debit	Credit
Rent / management fees / royalties	Internal income	Matching expense
Rent paid in advance	Deferred income	Prepayment

Property rented within the group

Transaction / working	Debit	Credit
Reclassify owner's investment property for group use	PPE	Investment property
Reverse current FV gain incorrectly included for group purposes	FV gain in P/L	Property
Recognise group depreciation	Depreciation expense	PPE accumulated depreciation

Individual owner accounts may use IAS 40; group accounts treat the property as owner-occupied. Reverse relevant historical FV effects through opening reserves, cancel rent and related balances, and assess NCI according to which entity's profit is adjusted.

Acquisition FV effects

Additional depreciation / amortisation and inventory uplift released on sale reduce adjusted subsidiary profit. Allocate NCI's share of those reductions. Check whether an adjustment belongs in current P/L or opening reserves.

References: ARP Study Guide Module 6; APQ M6, especially Q11; Term 3 2025 Q6-Q7; Term 2 2026 Q7; RP2 Study Aid consolidation A.4-A.6. IFRS 10.

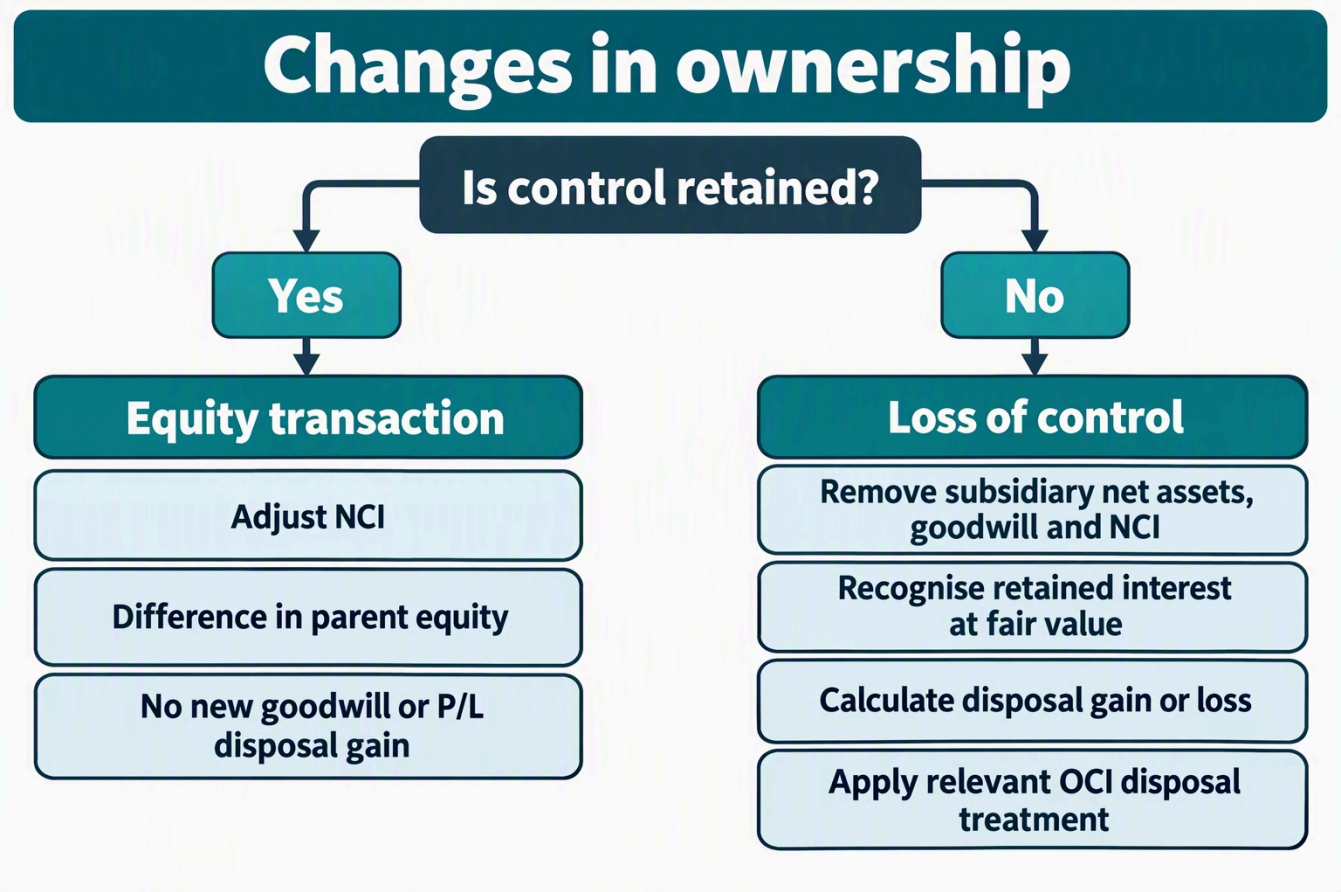
Group eliminations and NCI: IFRS 10.B86, B87, B88, B94 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 20.

21 / Changes in ownership and disposals

Module 6 | IFRS 3 / IFRS 10

Choose the control branch before preparing the ownership-change working.

Sources: ARP Study Guide pp104–108; APQ Module 6; AAPQ Q38–Q39. IFRS 10.B96, B98–B99.



Transaction	Journal direction
Additional purchase; control retained	Debit NCI for the carrying amount acquired; credit purchase price. Difference goes to parent equity.
Partial sale; control retained	Dr proceeds / recorded suspense; Cr NCI for its carrying-amount increase; difference to parent equity.

Use investment / suspense already recorded where appropriate, rather than recording cash twice. Split profit and NCI at each ownership-change date.

21 / Changes in ownership and disposals

Module 6 | IFRS 3 / IFRS 10

21.1 Classify the event before calculating

Event	Group treatment
Additional purchase creates control	Business combination; FV previously held interest; calculate goodwill
Buy more after control already exists	Equity transaction; no new goodwill
Sell part but retain control	Equity transaction; no group P/L disposal gain
Sell and lose control	Derecognise subsidiary; recognise group gain/loss; FV retained interest

21.2 Step acquisition: control obtained

Remeasure previously held interest to acquisition-date FV; account for the gain/loss and relevant accumulated OCI under the applicable rules.

- Include that FV in goodwill.
- Consolidate from the date control is obtained, not from the first small investment date.

21.3 Control retained: additional purchase

1. Complete ordinary consolidation to the transaction date.
2. Calculate the reduction in NCI carrying amount attributable to the interest purchased, using the correct goodwill/NCI basis.
3. Compare consideration paid with that reduction.

- Difference goes directly to parent equity.

4. Dr NCI for the reduction; Dr parent equity for any excess paid; Cr cash/consideration.

- Reverse the equity direction where appropriate.

5. Apply old/new NCI percentages to the appropriate profit periods.

Loss of control: IFRS 10.25, B98, B99 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 21.

21 / Changes in ownership and disposals

Module 6 | IFRS 3 / IFRS 10

21.4 Control retained: partial disposal

Increase NCI for the interest transferred.

• Proceeds minus NCI increase is a parent-equity movement, not P/L.

• If the parent's separate accounts already recognise a disposal gain, eliminate/reclassify it through consolidation.

• Do not leave both the individual gain and group equity movement.

21.5 Control lost

Group gain/loss = consideration + FV retained interest + carrying amount of NCI - subsidiary net assets - goodwill, with required OCI reclassification/transfer effects.

1. Consolidate results up to loss-of-control date.
2. Remove all subsidiary assets/liabilities, goodwill and NCI, not merely the sold percentage of each asset.
3. Recognise retained investment at FV; subsequently apply the appropriate associate/JV/IFRS 9 accounting.
4. Recycle relevant foreign-operation translation reserve to P/L; treat other OCI reserves according to their own standards.
5. Replace the parent's separate-account disposal result with the group result.

• Consider discontinued-operation presentation separately.

21.6 Journal check

The full economic disposal entry may include cash, but a consolidation correction should reflect what is already recorded in the parent's accounts.

• Build the group disposal working first, then identify the correcting entry.

CHECK BEFORE MOVING ON

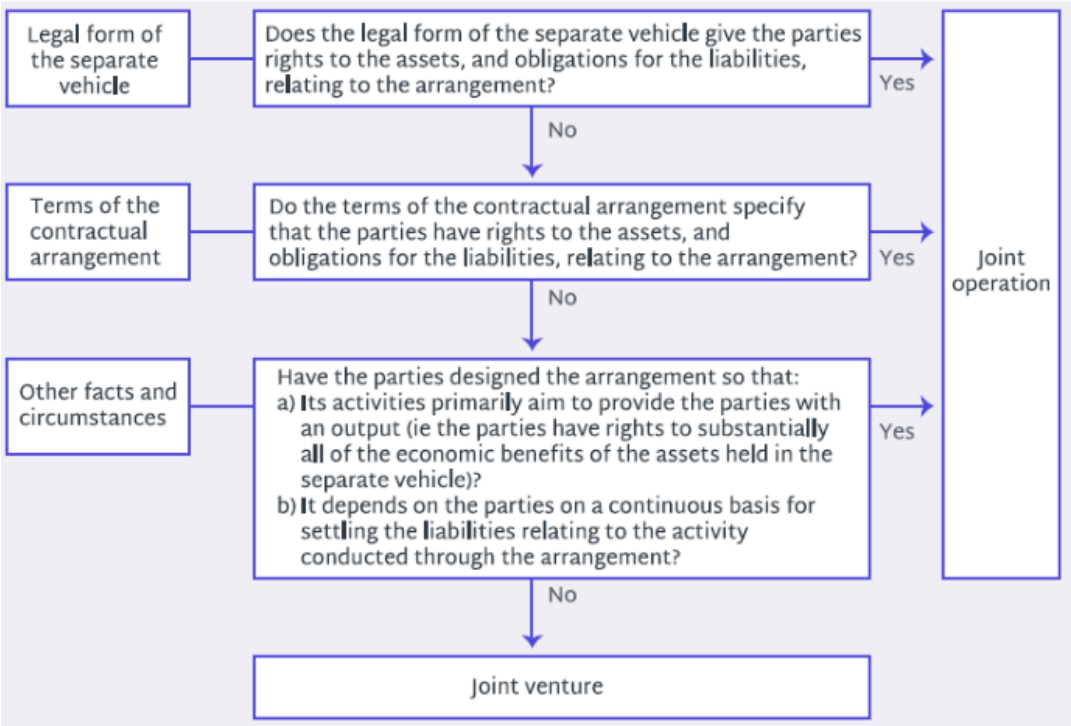
• **Traps:** goodwill recalculated when control retained; group gain based on original investment cost; only sold percentage of net assets removed on loss of control; NCI measured at year end rather than disposal date.

Sources: ARP Guide pp104-107; Batch 1 APQ M6 Q3-Q4; Batch 3 ICQ M6 Lesson 3 and SB M6. Standards: IFRS 3; IFRS 10.

Ownership change with control retained: IFRS 10.23, B96 LOOK UP: criteria / exceptions / note lists. KNOW: workings an journals. Book guide section 21.

22 / Associates and joint arrangements

Module 6 | IAS 28 / IFRS 11 / IAS 27



Apply the selected route

Relationship / rights	Accounting
Associate: significant influence	Equity method in group accounts; not line-by-line.
Joint venture: rights to net assets	Equity method, subject to applicable exemptions.
Joint operation: rights to assets and obligations for liabilities	Own assets / liabilities plus share of jointly held assets / incurred liabilities and relevant revenue / expenses.

Joint control: contractual unanimous consent over relevant activities. No separate vehicle: joint operation. Separate vehicle: assess legal form, contract and other facts. A percentage alone is not conclusive.

References: ARP Study Guide pp108-116; APQ M6 Q11-Q13; Term 3 2025 Q8; Term 4 2025 Q7. IAS 28; IFRS 11.

Associate identification and equity method: IAS 28.5, 6, 10, 28, 32 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 22.

22 / Associates and joint arrangements

Module 6 | IAS 28 / IFRS 11 / IAS 27

22.1 Identify the relationship

Significant influence is participation in financial/operating policy decisions without control/joint control.

• A 20% holding creates a presumption, not an automatic conclusion.

• Consider board representation, policy participation, material transactions and other evidence.

Joint control requires contractually agreed sharing of control with unanimous consent over relevant activities.

• Then distinguish rights to assets/obligations for liabilities (joint operation) from rights to net assets (joint venture).

• Legal form alone may not settle the classification.

Relationship	Consolidated/group treatment
Subsidiary	Full consolidation with NCI where applicable
Associate	Equity method
Joint venture	Equity method, subject to relevant exemption
Joint operation	Recognise own assets/liabilities and share of joint items, income/expenses
Passive financial investment	IFRS 9

22.2 Equity-method working

Opening investment + additions + share of post-acquisition profit + share of OCI - dividends - relevant UPP/impairment adjustments = closing investment.

At acquisition, goodwill is embedded in the investment, not shown separately.

• Consider FV net-asset differences and subsequent extra depreciation/amortisation when calculating the share of profit.

• A bargain purchase requires reassessment and appropriate recognition.

22.3 Journals

Share of profit: Dr investment; Cr share of associate/JV profit.

• **Share of loss:** reverse.

• **Share of OCI:** Dr/Cr investment with the corresponding OCI entry.

Associate losses and impairment: IAS 28.38, 39, 40, 42 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 22.

22 / Associates and joint arrangements

Module 6 | IAS 28 / IFRS 11 / IAS 27

• **Dividend:** Dr cash; Cr investment; if individual accounts credited dividend income, consolidation corrects that income rather than recognising cash again.

22.4 Further issues

• **Upstream/downstream trading:** eliminate only the investor's share of unrealised profit.

• Determine the asset/investment counterpart from the direction of the transaction; do not eliminate all revenue as for a subsidiary.

• **Losses:** reduce the investment and relevant long-term interests under the required sequence.

• Stop recognising further losses when the relevant interest is exhausted unless obligations/payments require more.

• Resume profit recognition only after unrecognised losses are recovered.

• **Impairment:** test the investment as a single asset under the relevant IAS 28/IAS 36 rules; do not separately test embedded goodwill as though it were subsidiary goodwill.

• **Separate accounts:** IAS 27 permits the relevant cost, IFRS 9 or equity-method approach.

• Do not answer a separate-account question with group equity accounting automatically.

22.5 Answer completeness

Explain why influence/joint control exists, name the accounting method and address initial measurement, subsequent profit/OCI, dividends, losses and intragroup transactions actually mentioned.

CHECK BEFORE MOVING ON

• **Traps:** JV called associate; proportional consolidation of a JV; NCI created for an associate; 100% UPP eliminated; exemption/individual-account context ignored.

Sources: ARP Guide pp108-116; Batch 1 APQ M6 Q11-Q13; Batch 2 Term 3 2025 Q8 / Term 4 2025 Q7; Batch 3 ICQ M6 Lessons 4-6.

Joint arrangement classification: IFRS 11.7, 15, 16, 20, 24, B15, B16 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 22.

22 / Equity method: journals and UPP

Module 6 | IAS 28 / IFRS 11 / IAS 27

Equity-method movement

Opening investment + share of profit / OCI − dividends ± other adjustments = closing investment. Goodwill is embedded in the investment, not shown separately.

Transaction / working	Debit	Credit
Share of current profit: investor fraction investor ownership percentage	Investment: investor ownership percentage × profit	Share of associate / JV profit: same
Share of historical post-acquisition profit	Investment	Retained earnings
Share of OCI gain	Investment	OCI
Dividend received	Cash	Investment
Dividend income already in parent accounts: group correction	Dividend income	Investment

Reverse profit entries for losses, subject to the loss-recognition limit and obligations. Assess impairment of the investment as a single asset.

Trading with associate / JV

Direction	Eliminate only investor share investor ownership percentage of UPP unrealised profit
Upstream: associate sells to group	Dr share of associate profit; Cr group inventory: investor ownership percentage × unrealised profit
Downstream: group sells to associate	Dr group profit / cost of sales; Cr investment: investor ownership percentage × unrealised profit

Do not eliminate 100% of trading or receivable / payable balances: the associate / JV is outside the fully consolidated group. No NCI is created for an equity-method investment. Apply the separate-account regime if the requirement is for individual rather than group accounts.

References: ARP Study Guide pp108-116; APQ M6 Q11-Q13; AAPQ Q30. IAS 28; IFRS 11.

Interests in other entities disclosures: IFRS 12.7, 12, 21 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 22.

23 / Foreign subsidiaries and translation reserves

Module 6 | IAS 21

23.1 Rate map

Item	Translation rate
Subsidiary assets/liabilities	Closing rate
Subsidiary income/expenses	Transaction rates; average if an appropriate approximation
Acquisition-date net assets	Acquisition-date rate
Dividend	Payment/declaration transaction rate as applicable
Goodwill/FV adjustments of foreign operation	Treat as foreign-operation assets/liabilities; closing rate

23.2 Solving sequence

1. Correct subsidiary accounting and acquisition FV net assets in functional currency.

2. Calculate goodwill in foreign currency.

- Convert the consideration consistently into that currency at acquisition.
- Keep both foreign and £ workings.

3. Translate subsidiary statements; use post-acquisition profit only where required.

4. Calculate exchange movements on net assets and goodwill separately.

5. Post translation to OCI/translation reserve and allocate NCI's share where applicable.

6. Perform intragroup eliminations, goodwill impairment and final presentation without duplicating exchange effects.

Foreign operation translation: IAS 21.39, 40, 47, 48, 48C LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 23.

23 / Foreign subsidiaries and translation reserves

Module 6 | IAS 21

23.3 Net-assets translation bridge

£ closing net assets - £ opening net assets - £ profit/OCI movements + £ dividends, adjusted for capital movements and other changes = translation movement.

• Use the appropriate rates for each movement.

• If opening net assets are acquisition-date net assets, use the acquisition rate.

Equivalent component approach: opening foreign net assets x (1/closing rate - 1/opening rate), plus profit translated at closing versus average, minus dividend translated at closing versus transaction rate, with other movements treated consistently.

• These formulas assume rates quoted as foreign units per £1.

23.4 Goodwill bridge

Closing foreign goodwill / closing rate - opening £ goodwill + impairment translated at its relevant rate = goodwill exchange movement (foreign units per £1).

• Keep impairment and translation separate.

• For partial goodwill, recognised goodwill and its translation belong to the parent; for full goodwill, consider NCI allocation.

23.5 Journals and presentation

Translation gain: increase translated net assets/goodwill with Cr OCI translation gain; reverse for a loss.

• Allocate NCI's share of subsidiary OCI using OCI attribution, not P/L attribution.

• Present translation in the OCI category that may subsequently be reclassified.

23.6 Intragroup monetary items

Eliminate matched loan/receivable/payable balances, but do not automatically eliminate all exchange differences from a monetary item.

• Ordinary exchange effects remain in group P/L unless the item qualifies as part of the net investment, when the group OCI treatment applies.

CHECK BEFORE MOVING ON

• **Traps:** goodwill calculated only in £; average rate for SOFP; closing rate for all profit; translation gain not labelled; NCI translation allocated through SPL; ordinary receivable FX confused with foreign-operation translation.

Sources: ARP Guide pp117-123; Batch 1 APQ M6 Q6; Batch 2 Term 4 2025 Q5-Q6; Batch 3 ICQ M6 Lesson 7 and SB M6. Standards: IAS 21.

Foreign operation translation: IAS 21.39, 40, 47, 48, 48C LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 23.

23 / Foreign subsidiary: translation working

Module 6 | IAS 21

Translate first, then consolidate

Component	£ translation
Acquisition net assets acquisition net assets in foreign currency	acquisition net assets / acquisition rate
Post-acquisition profit post-acquisition profit	post-acquisition profit / average rate, if an appropriate approximation
Dividend dividend	dividend / transaction-date rate
Closing net assets closing net assets	closing net assets / closing rate
Goodwill goodwill in foreign currency in foreign currency	goodwill in foreign currency / closing rate

These formulas assume foreign units per £. Reverse the conversion if the quote is £ per foreign unit.

Net-asset translation difference

Closing net assets at closing rate − acquisition net assets at acquisition rate − post-acquisition profit at average / transaction rates − other translated increases + translated dividends / other decreases. Analyse OCI movements separately where present.

Goodwill translation

For a current-year acquisition with no impairment, translate the foreign-currency goodwill at the closing rate and at the acquisition rate. Deduct the acquisition-rate amount from the closing-rate amount to find the goodwill exchange movement. If impaired, separate the impairment translation from the exchange movement.

Transaction / working	Debit	Credit
Translation gain	Translated net assets / goodwill	OCI translation reserve
NCI share of subsidiary translation gain	OCI attribution to NCI	NCI (SOFP)

Reverse for losses. Treat goodwill and FV adjustments as assets / liabilities of the foreign operation. Avoid duplicating the translation difference when performing acquisition and NCI entries.

References: ARP Study Guide pp117-123; APQ M6 foreign-subsidiary questions. IAS 21.

Foreign operation translation: IAS 21.39, 40, 47, 48, 48C LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 23.

24 / Individual-company cash flows

Module 7 | IAS 7

24.1 Indirect operating section

1. Start with the profit subtotal required by the question/template.

• The supplied Term 4 2025 paper uses profit before tax; do not replace it with operating profit without adapting all adjustments.

2. **Add back non-cash charges:** depreciation, amortisation, impairment and relevant share-based-payment charges.

3. Remove non-operating gains/income and add back expenses whose cash flows are presented elsewhere, consistently with the required classification.

4. Adjust operating working capital, excluding non-operating balances and non-cash movements.

5. Deduct/include actual tax and interest cash flows in the required categories.

• Follow the course/template's applicable IAS 7 presentation rather than assuming a universal category.

Working-capital movement	Operating cash effect
Inventory/operating receivable increase	Deduct
Inventory/operating receivable decrease	Add
Operating payable increase	Add
Operating payable decrease	Deduct

24.2 Supporting account reconciliations

Tax payable: opening + current tax charge +/- prior-year adjustment - cash paid = closing.

• Exclude deferred tax from cash tax.

Interest payable: opening + accrued finance cost - interest paid = closing, after excluding non-cash accretion/unwind and other differences.

Cash-flow classification and non-cash items: IAS 7.6, 7, 10, 18, 20, 31, 35, 43 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 24.

24 / Investing and financing: build the cash-flow lines

Module 7 | IAS 7

24.3 Direct-method reminders

Customer receipts: start with revenue, add opening operating receivables and deduct closing operating receivables, adjusting contract balances and non-cash items. Supplier payments: derive purchases from cost of sales and inventory movements, then add opening trade payables and deduct closing trade payables. Adjust employee costs for accruals and prepayments to obtain cash paid. Remove investing and financing balances from operating working capital.

24.4a Decide the direction before calculating

Cash received is a positive inflow. Cash paid is an outflow, shown in brackets. The words add and deduct in a reconciliation tell you how to derive the cash amount; they do not change an actual payment into an inflow. A balance-sheet increase is not automatically cash received.

Investing item	What to calculate	Show in the statement
PPE / intangible purchase	Derive additions, remove non-cash additions, then adjust capital creditors and advances.	Cash paid: deduct / brackets.
PPE / intangible disposal	Carrying amount disposed plus disposal gain, or less disposal loss. Adjust any unpaid proceeds.	Cash received: add.
Purchase / sale of investments	Use actual cash consideration paid / received; do not use a fair-value movement as cash.	Purchase: deduct. Sale: add.
Interest / dividends received	Derive cash received from income and related receivable balances. Apply the course / IAS 7 category and main-business-activity branch.	For an ordinary entity under the supplied IFRS 18-amended IAS 7: investing inflow.
Acquire / lose control	Cash consideration less cash and cash equivalents acquired / disposed. See section 25.	Acquire: outflow. Dispose: inflow.

24 / Individual-company cash flows

Module 7 | IAS 7

24.4b Financing: calculate actual receipts and payments

Financing item	Working / action	Direction
Cash share issue	Shares issued multiplied by cash issue price. Include share premium; deduct cash issue costs as applicable. Exclude shares issued for an asset or subsidiary.	Add cash proceeds.
Share buyback	Shares repurchased multiplied by repurchase price. Do not use nominal capital reduction or the capital redemption reserve as cash paid.	Deduct full cash payment.
New borrowing	Reconcile total current and non-current borrowing; isolate new cash proceeds from non-cash movements.	Add cash received.
Loan repayment	Reconcile the total debt balance; separate new loans, interest accretion, conversions, acquired debt and exchange changes.	Deduct cash principal repaid.
Lease payment	Separate principal from interest using the lease schedule. New lease recognition is not a cash receipt or payment.	Deduct principal; classify cash interest separately.
Interest paid	Opening interest payable plus relevant interest charge, less closing interest payable; adjust non-cash finance costs and group changes.	Deduct cash interest, not the expense.
Dividends paid	Use actual payments or reconcile dividend payable: opening payable plus dividends recognised, less closing payable.	Deduct parent dividends and external NCI dividends.
Ownership change: control retained	Use cash paid to acquire NCI or cash received from selling an interest / NCI subscription.	Purchase: deduct. Receipt: add.

Classification for ordinary entities in the supplied IFRS 18-amended IAS 7: interest paid and dividends paid are financing; interest and dividends received are investing. Check the specific branch for entities whose main business activity is investing in assets or providing financing. Do not import older free-choice classification rules into these course questions.

24.4c Exclude, but explain where the item belongs

Share-for-asset or share-for-subsidiary consideration, debt converted into equity, initial lease liabilities, revaluations and reserve transfers have no cash flow at recognition. Exclude them from cash totals and disclose material non-cash investing / financing transactions separately. Remove them from account movements before solving for cash.

24.5 Reconcile the completed statement

Add operating, investing and financing net cash flows. Add the separately shown exchange effect on cash and cash equivalents. Add opening cash and cash equivalents: the result must equal the closing balance. Check qualifying overdrafts and avoid inappropriate netting of separate material classes.

24 / Individual-company cash flows

Module 7 | IAS 7

Sources: ARP Study Guide pp125-131; APQ M7, including Q6; RP2 Study Aid cash flows; IAS 7.16-17, 31-34D, 39-43; IFRS 16.50.

24 / PPE additions and cash purchases: explicit working

Module 7 | IAS 7

Step 1. Find total recognised additions

Start / adjustment	Action in the additions working
Closing PPE carrying amount	Start with this amount.
Opening PPE carrying amount	Deduct.
Depreciation and impairment charged	Add back: these reduced the closing balance without reducing additions.
Carrying amount of PPE disposed	Add back: the disposed asset is no longer in closing PPE.
Upward revaluation / other non-cash increases	Deduct: these increased PPE without being additions.
Downward revaluation / other non-cash decreases	Add back, unless already included in the impairment adjustment.
Result	Total additions recognised. For a group, also remove acquired PPE and adjust disposal / exchange movements.

Step 2. Convert additions into cash paid

Deduct additions obtained through new leases, shares, business combinations or other non-cash transactions. Add opening capital creditors and deduct closing capital creditors: this includes cash paid for last year’s purchases and removes this year’s unpaid purchases. Add closing capital advances and deduct opening capital advances where relevant. Show the resulting cash paid as an investing outflow.

Step 3. Derive disposal cash separately

Add the disposal gain to the carrying amount disposed, or deduct the disposal loss, to obtain disposal proceeds. If proceeds are not all received, adjust the related receivable. Show actual cash received as an investing inflow. Do not use the gain alone as proceeds.

Operating working capital: direction

After removing non-cash / group changes, deduct increases in operating inventory and receivables; add decreases. Add increases in operating payables; deduct decreases. Keep capital creditors, interest payable and tax payable out of operating trade-payable movements when reconciled separately.

Tax paid

Start with opening current-tax payable, add the current-tax charge and deduct closing current-tax payable. Adjust other current-tax movements, including acquired / disposed balances for a group. Show tax paid as an outflow in the appropriate category. Do not include deferred tax in this cash calculation.

Sources: ARP Study Guide pp125-131; APQ M7; RP2 Study Aid cash-flow workings; IAS 7.16, 20, 35, 43.

25 / Consolidated cash flows

Module 7 | IAS 7 / IFRS 10 / IAS 21

25.1 Start from the group, not parent-only accounts

Use consolidated profit and group balances.

• Eliminate internal cash flows.

• Subsidiary cash flows are included for the period controlled; NCI ownership does not mean including only the parent's percentage of operating cash flows.

25.2 Acquisition/disposal working

Transaction	Investing cash flow
Acquire control	Cash consideration paid - cash/cash equivalents acquired
Lose control	Cash proceeds received - cash/cash equivalents disposed

Non-cash consideration is excluded from the cash amount.

• Do not include the whole FV consideration when shares/deferred amounts are involved.

• Account for later payments in the appropriate period/category under the relevant rules.

25.3 Working-capital correction

An acquisition can increase group inventory/receivables/payables without any operating cash movement.

• Remove acquired balances from the closing-minus-opening change.

• For a disposal, add back disposed balances to isolate the continuing operating movement.

Adjusted movement = closing - opening - acquired balance + disposed balance, with additional non-cash/FX adjustments as required.

• Apply the correct cash-flow sign after calculating the movement.

25.4 PPE and other asset reconciliations

Opening + acquired assets + cash/non-cash additions +/- FX/revaluation - depreciation/impairment - disposed subsidiary assets - other disposals = closing.

• Solve for additions, then isolate cash additions.

• Acquisition-date FV assets are not cash PPE purchases by the group.

25.5 Associates/JVs

Deduct the non-cash share of associate/JV profit from the operating reconciliation.

• Show dividends actually received in the appropriate category.

Group cash flows: IAS 7.39, 40, 42A, 42B LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 25.

25 / Consolidated cash flows

Module 7 | IAS 7 / IFRS 10 / IAS 21

• Reconcile investment carrying amount for profits, OCI, dividends, acquisitions, disposals and impairment before deriving any cash investment amount.

25.6 NCI dividends and ownership transactions

NCI dividends are external group cash flows.

• **Where no other changes exist:** opening NCI + share of profit/OCI - closing NCI = dividends.

• Where acquisitions, ownership changes, FX or other movements exist, include those explicitly before solving for dividends.

Transactions changing ownership while control is retained are equity transactions and financing cash flows, not business acquisition/disposal investing flows.

• Separate NCI share subscriptions or payments where relevant.

25.7 Foreign subsidiary and cash

Separate the exchange effect on cash from operating/investing/financing flows.

• Do not use the whole foreign-operation translation reserve as the cash exchange movement.

CHECK BEFORE MOVING ON

• **Traps:** acquisition inventory treated as operating outflow; share consideration included as cash; subsidiary cash not netted from control-acquisition consideration; NCI dividends derived from an incomplete reconciliation; all group cash flows multiplied by parent ownership.

Sources: ARP Guide pp126-131; Batch 1 APQ M7; Batch 3 ICQ/SB M7. Standards: IAS 7; IFRS 10; IAS 21.

Group cash flows: IAS 7.39, 40, 42A, 42B LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 25.

25 / Group financing: workings and M7 APQ Q6

Module 7 | IAS 7 / IFRS 10 / IAS 21

25.8 General account-reconciliation route

For every financing line, write an opening-to-closing account reconciliation. Add genuine increases; deduct genuine decreases; identify the cash balancing figure only after removing acquisition, disposal, exchange and other non-cash movements. Include both current and **non-current borrowing balances:** a maturity reclassification is not repayment.

Interest paid: opening interest payable plus the relevant interest charge plus acquired interest payable, less disposed interest payable and closing interest payable; adjust other non-cash changes. NCI dividends: opening NCI plus NCI share of profit and OCI plus other increases, less other decreases and closing NCI. Include acquisitions, disposals, ownership changes and exchange effects before solving.

Associate / JV dividends received: reconcile opening investment, share of profit / OCI, additions, disposals, impairment and other movements to closing investment. The share of profit is not cash. Eliminate internal group cash flows; retain external NCI and associate / JV cash flows.

25.9 M7 APQ Q6: Short group, £000

Requirement: financing activities only. Do not prepare an investing section or include the subsidiary purchase cash in the financing extract.

Working	Calculation from the question	Cash-flow treatment
Shares issued for Hoon	500,000 shares at £2.50 = £1,250k non-cash consideration. Nominal capital £250k; premium £1,000k.	Exclude from cash proceeds.
Share-capital check	Opening 9,000 + non-cash issue 250 - nominal buyback 500 = closing 8,750. Premium 2,000 + 1,000 = 3,000.	No unexplained cash share issue.
Buyback	1,000,000 shares multiplied by £2.40 = £2,400k. The £500k capital redemption reserve is a non-cash transfer.	Deduct 2,400.
Loans repaid	Opening total: 2,000 + 500 = 2,500. Closing total: 1,440 + 500 = 1,940. No other loan movements given: repayment 560.	Deduct 560.
NCI dividends	Opening NCI 500 + profit attributable to NCI 250 - closing NCI 600 = 150. Hoon is wholly owned, so no acquired NCI.	Deduct 150.
Interest paid	Opening accrual 6,810 + interest expense 1,350 + acquired accrual 10 - closing accrual 7,970 = 200.	Deduct 200.
Parent dividends	Actual payment supplied: 6,975. Do not infer it from retained earnings.	Deduct 6,975.

25 / Consolidated cash flows

Module 7 | IAS 7 / IFRS 10 / IAS 21

Transfer the workings into the financing extract

Cash flows from financing activities	£000
Buyback of share capital	(2,400)
Repayment of borrowings	(560)
Dividends paid to NCI	(150)
Interest paid	(200)
Dividends paid by parent	(6,975)
Net cash used in financing activities	(10,285)

Why the acquisition matters here: the £10k acquired interest accrual must be included in the interest-payable working; it is not current-year group interest expense. The shares issued explain equity movements but generate no cash. Acquired cash is relevant to the investing acquisition working, not this financing-only extract.

Source: Batch 1, APQ M7 Q6 Short, question PDF pp14-15 and supplied solution pp16-17. General group routes: ARP Study Guide pp126-131; IAS 7.39-43.

26 / Sustainability frameworks and materiality

Module 8 | IFRS S1 / IFRS S2 / GRI / ESRS

26.1 Identify the reporting lens first

Framework	Materiality	Core audience / purpose
		Primary users: sustainability risks/opportunities affecting prospects and resource-allocation decisions
IFRS Sustainability Disclosure Standards	Financial	
		Broader stakeholders: significant impacts on economy, environment and people
GRI	Impact	
		Material impacts and/or financial risks/opportunities; broader stakeholder information
ESRS	Double	

Double materiality means material from either perspective or both, not only topics satisfying both tests.

• **Do not describe all non-financial reporting as impact-only:** IFRS S1/S2 is financially material sustainability reporting.

26.2 Framework-specific checks

IFRS S1: fair presentation, materiality, reporting entity and connected information.

• Use applicable specific IFRS sustainability standards.

• Refer to and consider relevant SASB disclosure topics/metrics; do not assume every SASB item is mandatory regardless of applicability.

• Omission must be justified by relevance/materiality, not because results are unfavourable.

GRI: accuracy, balance, clarity, comparability, completeness, sustainability context, timeliness and verifiability.

• Distinguish reporting 'in accordance' from 'with reference'; a general statement of compliance is not enough without the required process/content.

ESRS: assess impact and financial materiality and their interdependencies.

• For negative actual impacts, assess severity; potential negative impacts add likelihood.

• Severity considers scale, scope and irremediable character.

• Positive impacts use scale/scope, plus likelihood for potential impacts.

KNOW: answer/workings and applied narrative.

26 / Sustainability frameworks and materiality

Module 8 | IFRS S1 / IFRS S2 / GRI / ESRS

26.6 Accounting standards and sustainability standards are independent

Using IFRS Sustainability Disclosure Standards does not itself require the entity to prepare its financial statements under IFRS Accounting Standards. The sustainability disclosures can accompany financial statements prepared under another accounting framework. Do not confuse the accounting basis with the sustainability reporting framework.

Source: Skills Builder M8 Q9 statement 1 and supplied explanation; verification report.

26 / Sustainability frameworks and materiality

Module 8 | IFRS S1 / IFRS S2 / GRI / ESRS

26.3 Materiality evaluation sequence

1. Understand the entity's activities, products, locations and value chain.
2. Identify stakeholders and the applicable reporting requirements.
3. Identify actual/potential impacts, risks and opportunities.
4. Assess them using the framework's materiality lens and criteria.
5. Evaluate prioritisation and omissions; check whether stakeholder feedback influenced decisions.
6. Review disclosures/content index and any assurance findings; recommend specific missing information.

26.4 Stakeholder engagement

Check who was selected and why, method/frequency, concerns by group and how views affected material topics/strategy.

- Surveys can provide breadth; targeted meetings/interviews provide depth.
- Match the method to the stakeholder and information need.
- Engagement is not complete merely because a survey was sent.

KNOW: answer/workings and applied narrative.

26 / Sustainability frameworks and materiality

Module 8 | IFRS S1 / IFRS S2 / GRI / ESRS

26.5 Assurance and quality

Separate framework requirements, regulatory requirements and voluntary assurance.

• Explain how independent assurance can support confidence, but do not claim all three frameworks universally require the same assurance.

• Use the extract supplied in the question for detailed requirements.

CHECK BEFORE MOVING ON

• **Traps:** financial materiality confused with impact; double materiality treated as 'both required'; negative metrics omitted for reputational reasons; framework comparison without applying the scenario.

Sources: ARP Guide pp133-141; Batch 1 APQ M8 Q4-Q7/Q12; Batch 3 ICQ/SB M8. Framework detail follows the supplied course, not a current-law update.

KNOW: answer/workings and applied narrative.

27 / Evaluating sustainability and climate disclosures

Module 8 | IFRS S2 / GRI / ESRS

27.1 Requirement-by-requirement method

1. Break the extract into individual requirements, including each metric and subpart.
2. Locate the relevant draft disclosure; quote only the short evidence needed or paraphrase it.
3. State met, partly met or not met.

• Explain the precise gap.

4. Recommend the missing data/context/methodology, not simply 'more detail'.
5. Conclude on overall compliance and usefulness separately.

• A metric can meet a formal requirement yet still need context to be decision-useful.

Requirement	Evidence	Conclusion	Improvement
Required percentage	Total quantity only	Partly met	Add the required percentage and denominator
Target progress	Ambition without current result	Not met	Add baseline, current value, target date and progress
Methodology	Unexplained estimate	Partly met	Explain boundary, method, assumptions and uncertainty

27.2 Four disclosure pillars

• **Governance:** responsible body/person, oversight, skills, information flow, frequency and integration into decisions/remuneration where relevant.

• **Strategy:** risks/opportunities, time horizons, business model/value-chain effects, current/anticipated financial effects, response and resilience/scenario analysis.

• **Risk management:** identification, assessment, prioritisation, monitoring and integration with overall risk management; include impacts where the framework requires them.

KNOW: answer/workings and applied narrative.

27 / Evaluating sustainability and climate disclosures

Module 8 | IFRS S2 / GRI / ESRS

• **Metrics and targets:** relevant measures, baseline, period, units, boundaries, methodology, progress and revisions; distinguish absolute from intensity measures.

27.3 Climate classification and application

Physical acute: event-driven flood/fire/storm/heatwave.

• **Physical chronic:** longer-term sea-level, water or climate-pattern change.

• **Transition:** policy/legal, technology, market and reputation.

• **Opportunities:** efficiency, low-emission energy, products/services, markets and resilience.

For each, link the event to the entity's location/activity, time horizon and financial/impact consequence.

• Do not list generic risks without the scenario link.

27.4 Metric checks

GHG: distinguish Scope 1 direct, Scope 2 purchased-energy indirect and Scope 3 other value-chain emissions.

• Check measurement boundary, units, method, gross/net claims, comparatives and target progress against the extract.

• Energy/waste/packaging disclosures may require multiple percentages and quantities; satisfying one does not satisfy all.

27.5 Usefulness and balance

Relevance: does it help assess the specified risks/impacts and prospects?

• **Faithful representation:** complete, neutral and appropriately accurate.

• Check comparability, verifiability, clarity and context.

• Explain why a gap matters to users.

CHECK BEFORE MOVING ON

• **Traps:** no overall conclusion; broad narrative accepted instead of required number; improvement not tied to a gap; green claims without evidence; financial effects omitted from IFRS S2 strategy evaluation.

Sources: ARP Guide pp141-152; Batch 1 APQ M8 Q1-Q3/Q8-Q11; Batch 2 Term 3 2025 Q11; Batch 3 ICQ/SB M8.

KNOW: answer/workings and applied narrative.

27.6 Check the metric, not only the topic

Compare the exact requested measure with the disclosed measure: median is not the same as arithmetic average; absolute amount is not intensity; a current-year total is not a target or trend. Identify the mismatch and request the specified measure. In Gallow, do not accept a median where the requirement is an average merely because the model answer overlooks the distinction.

Source: verification report Gallow demonstration and supplied question extract.

28 / Integrated reporting, strategic report and connectivity

Module 9 | Integrated Reporting Framework / Companies Act extracts

28.1 Integrated reporting: answer the actual purpose

Explain how the organisation creates, preserves or erodes value over short, medium and long term through its business model and use of capitals.

• It is not merely a financial report plus a sustainability appendix.

• The framework is principles-based, not a prescribed list of KPIs.

Capital	Scenario application prompt
Financial	Funding, cash generation and investment capacity
Manufactured	Buildings, infrastructure and productive assets
Intellectual	Systems, know-how, innovation and intellectual property
Human	Skills, capability and workforce development
Social and relationship	Stakeholder relationships, trust and networks
Natural	Resources, ecosystems and environmental effects

Show interdependencies/trade-offs: spending financial capital on training can build human capital; an apparent short-term saving can erode long-term capability.

• Distinguish outputs from outcomes and effects on capitals.

28.2 Integrated-report evaluation

Consider strategic focus/future orientation, connectivity, stakeholder relationships, materiality, conciseness, reliability/completeness and consistency/comparability.

• Review organisational overview, governance, business model, risks/opportunities, strategy/resource allocation, performance, outlook and basis of preparation/presentation.

• Apply the extract and scenario rather than reciting all headings.

28.3 Strategic report

Evaluate whether there is a fair, balanced and comprehensive business review; principal risks/uncertainties; relevant financial and non-financial KPIs; comparatives and explanation of significant changes.

• Apply the company-size/status requirements from the supplied statutory extract.

• Do not assume all companies have identical disclosure obligations.

Connectivity and conceptual support: CF.1.2, 2.4, 2.11, 2.13, 4.3, 4.26, 5.7 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 28.

28 / Integrated reporting, strategic report and connectivity

Module 9 | Integrated Reporting Framework / Companies Act extracts

28.5 Strategic-report purpose and time perspective

Explain that the strategic report helps members assess how directors have performed their duty to promote the company’s success. It provides context for the financial statements and a balanced, comprehensive analysis of development, performance and position, proportionate to the business.

Use both backward-looking information (performance, results and developments) and forward-looking information (strategy, objectives, prospects and principal risks). In an evaluation, identify which perspective is missing and propose the specific information needed, rather than merely requesting more detail.

Sources: ARP Study Guide strategic-report lesson; APQ M9 Q1 Burrstock; verification report.

28 / Integrated reporting, strategic report and connectivity

Module 9 | Integrated Reporting Framework / Companies Act extracts

28.4 Financial/non-financial consistency matrix

Narrative claim / risk	Financial statement question
Planned closure or stranded asset	Useful life/residual value; impairment; HFS/discontinued criteria
Falling demand or prohibited product	Inventory NRV and impairment cash-flow assumptions
Environmental damage/restoration commitment	
	Present obligation, provision and disclosure
Lower future profitability	DTA recoverability and going concern
Customer climate exposure	ECL assumptions and credit-risk disclosures
Net-zero strategy and transition costs	Consistency of budgets, VIU assumptions and onerous contracts

Explain the causal link, relevant standard and possible recognition/measurement/disclosure effect.

• A sustainability commitment does not automatically create an IAS 37 provision; assess the obligation criteria.

28.5 Balanced comparison

Financial reporting recognises measured assets/liabilities/performance and related uncertainty.

• Non-financial reporting adds business-model, stakeholder, value-chain and forward-looking context.

• IFRS S1/S2 still uses financial materiality; GRI/ESRS broaden the impact perspective.

CHECK BEFORE MOVING ON

• **Traps:** integrated reporting reduced to sustainability; capitals omitted; inconsistent assumptions accepted; current legal developments asserted from an old course guide.

Sources: ARP Guide pp154-165; Batch 1 APQ M9; Batch 2 Term 3 2025 Q9; Batch 3 ICQ/SB M9. Statutory detail: use the supplied extract.

Connectivity and conceptual support: CF.1.2, 2.4, 2.11, 2.13, 4.3, 4.26, 5.7 LOOK UP: criteria / exceptions / note lists. KNOW: workings and journals. Book guide section 28.

29 / Ethics and final-answer checks

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29.1 Ethics answer sequence

1. **State the reporting dilemma and the relevant facts:** omission, misleading claim, pressure, lack of evidence, conflict or confidentiality issue.
2. Identify the relevant fundamental principle and explain the link.
3. Identify the threat and why it arises in this scenario.
4. **Recommend a proportionate action:** establish facts, obtain evidence, discuss/correct, seek technical/ethical advice, escalate appropriately and document.
5. If unresolved, consider further action under the Code and relevant legal/professional obligations.

• Do not recommend public disclosure of confidential information without an appropriate basis.

Principle	Reporting application
Integrity	Do not be associated with knowingly misleading information or material omissions
Objectivity	Resist bias, conflicts and undue influence, including bonus/job pressure
Professional competence and due care	Obtain the expertise/evidence needed; prepare compliant information diligently
Confidentiality	Protect information while considering lawful/professional disclosure duties
Professional behaviour	Comply with relevant requirements and avoid conduct discrediting the profession

29.2 Threats: explain, do not just list

Self-interest: personal financial/job incentive.

KNOW: answer/workings and applied narrative.

29 / Ethics and final-answer checks

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- **Intimidation:** pressure or threatened consequences.
- **Self-review:** reviewing one's own prior work.
- **Advocacy:** promoting a position compromises objective judgement.
- **Familiarity:** close relationships impair challenge.
- Use only threats supported by the scenario.

29.3 Greenwashing and performance claims

Check factual accuracy, credible evidence, review processes, context, methods and whether omissions/exaggeration mislead.

- A favourable metric does not justify omitting a material adverse one.
- Recommend balanced, substantiated disclosure and correction of unsupported claims.

29.4 Final accounting check

- Dates and perspective correct?
- Current/historical and individual/group separated?
- Required closing amount distinguished from this year's movement?
- Narrative agrees with journals, especially P/L versus OCI?
- Cash already recorded?
- Correction avoids duplication?
- NCI based on adjusted subsidiary profit and correct period/percentage?
- Foreign rate direction, units and gain/loss labels correct?
- Statement headings, subtotals, comparative treatment and disclosure included?

29.5 Final narrative check

Answer each verb and subpart.

- For evaluation, conclude met/partly/not met for each requirement.
- For recommendation, say what to add/change and why it matters.
- Number workings/journals so the marker can follow the transfer to the statement.

CHECK BEFORE MOVING ON

- Do not memorise a generic ethics paragraph and paste it unchanged.
- Apply the principles to the reporting decision and recommended action, without making unsupported judgements about individuals.

Sources: ARP Guide pp164-165; Batch 1 APQ M8 Q4 and M9; Batch 2 Term 3 2025 Q10/general comments; Batch 3 ICQ/SB M9. Code principles as used in supplied materials.

KNOW: answer/workings and applied narrative.

30 / Calculation reference

All modules | Calculation reference

Basic EPS

Divide earnings attributable to parent ordinary shareholders by weighted-average ordinary shares.

Rights issue

Calculate combined value of old and new shares, divide by total post-rights shares, then divide pre-rights value per share by that price for the rights adjustment factor.

Options: diluted EPS

Multiply option number by the excess of average market price over exercise price; divide by average market price. Include only dilutive instruments.

Present value

Discount each future payment at the relevant rate for the number of periods until settlement. Sum the discounted amounts.

Amortised cost

Asset: opening carrying amount plus effective-interest income less cash received. Liability: opening carrying amount plus effective-interest expense less cash paid.

Lease liability

Arrears: calculate interest on the opening liability, add it, then deduct payment. Advance: deduct the payment first, then calculate interest on the remaining balance.

Deferred tax

Multiply the temporary difference by the relevant enacted or substantively enacted tax rate; assess recognition and the destination of the underlying item.

Goodwill

Add consideration, acquisition-date NCI and fair value of any previous holding; deduct acquisition-date fair value of identifiable net assets.

Inventory unrealised profit

If inventory is stated at internal selling price and the percentage is a mark-up on cost, multiply by the mark-up divided by one plus the mark-up. For a margin on sales, multiply directly by that margin.

Equity method

Opening investment plus share of profit and OCI, less dividends, with the relevant other adjustments, gives closing investment.

Loss of control

Add proceeds, fair value of retained interest and NCI derecognised; deduct net assets and goodwill derecognised. Deal separately with required OCI reclassification.

Acquisition cash

Deduct acquired cash and cash equivalents from cash consideration paid; show the net payment as investing outflow.

30 / Calculation reference

All modules | Calculation reference

Impairment

Compare carrying amount with recoverable amount, which is the higher of value in use and fair value less costs of disposal. Recognise only the excess of carrying amount.

Share-based payment

Multiply expected vesting instruments by the relevant fair value and the proportion of service completed. Deduct the previously recognised cumulative balance to find the current movement.

Post movements, not closing totals. Check dates, units and whether the requirement concerns the individual entity or group.